NAIROBI SECURITIES EXCHANGE PLC

ANNUAL REPORT AND CONSOLIDATED FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2025

CONTENTS

CORPORATE INFORMATION

DIRECTORS	:	Mr. Kiprono Kittony, EBS	Chairman
	:	Mr. John Niepold	
	:	Mr. Stephen Chege	
	:	Mr. Donald Wangunyu	
	:	Ms. Risper Alaro	
	:	Ms. Isis Nyong'o	
	:	Ms. Caroline Kariuki	
	:	Mr. Tom Mulwa	
	:	Ms. Nancy Noreh	
	:	Mr. Frank Lloyd Mwiti	Chief Executive Officer

COMPANY SECRETARY

Ms. Millicent Ngetich
Certified Public Secretary (Kenya)
Image Registrars Limited
P.O. Box 9287 – 00100 GPO
Nairobi, Kenya

REGISTERED OFFICE

: L.R. No 209/18851
: The Exchange, 55 Westlands Road
: P.O. Box 43633 - 00100
: Nairobi, Kenya

BANKERS

: KCB Bank Limited
: Moi Avenue Branch
: P.O. Box 30081 – 00100
: Nairobi, Kenya

: Co-operative Bank of Kenya Limited
: Westlands Branch
: P.O. Box 48231 – 00100
: Nairobi, Kenya

: Standard Chartered Bank Kenya Limited
: Chiromo Branch
: P.O Box 3003 - 00100
: Nairobi, Kenya

INDEPENDENT AUDITOR

: PKF Kenya LLP
: Certified Public Accountants
: P.O. Box 14077, 00800
: NAIROBI

CORPORATE INFORMATION (CONTINUED)

LEGAL ADVISERS	:	Mboya Wangong'u & Waiyaki Advocates
	:	Lex Chambers
	:	Maji Mazuri Road, Lavington
	:	P.O. Box 74041 – 00200
	:	Nairobi, Kenya
	:	Mohammed Muigai LLP
	:	MM Chambers, 4th Floor, K-Rep Centre
	:	Wood Avenue, Off Lenana Road, Kilimani
	:	P.O. Box 61323 – 00200
	:	Nairobi, Kenya
	:	Walker Kontos Advocates
	:	Hakika House
	:	Bishops Road
	:	P.O. Box 60680 – 00200
	:	Nairobi, Kenya
	:	KN Law LLP
	:	The Pavilion Westland
	:	Lower Kabete Road
	:	Nairobi, Kenya

REPORT OF THE DIRECTORS

The directors present their annual report together with the audited financial statements of Nairobi Securities Exchange PLC (NSE/the “Company”/the “Exchange”) and its subsidiaries and structured entities (together, the “Group”) for the year ended 31 December 2025, which show the state of affairs of the Company and the Group.

PRINCIPAL ACTIVITIES

The Company is the sole securities exchange licensed by the Capital Markets Authority to promote, develop, support and carry on the business of a securities exchange and to discharge all the functions of a securities exchange in Kenya.

NSE Clear Limited is a wholly owned subsidiary of the NSE. The principal objectives of NSE Clear Limited are to carry on the business of a clearing house and as such, to provide clearing and settlement services for transactions in derivative securities whether carried out on or off a securities exchange, to act as a central counterparty in derivative securities transactions and to carry out all activities that pertain to a clearing house.

The NSE Derivatives Settlement Guarantee Fund (SGF) and NSE Derivatives Investor Protection Fund (IPF) are trusts whose main purpose is to strengthen the financial integrity of the derivatives market, ensure settlement of transactions in derivatives securities in case of default by a clearing member and satisfy specified claims by the investing public arising out of non-settlement of obligations owed to them by trading members or losses incurred by reason of the default of the trading members. The Board of Directors of the NSE Clear Limited appoints Trustees of the SGF and IPF who manage and administer these funds.

The Company’s holding in AKS Nominees Ltd (AKS) is 94% (2024: 94%). AKS holds an 18% shareholding in the ordinary shares of the Central Depository & Settlement Corporation (CDSC) (2024: 18%). The principal activity of the subsidiary is holding equity shares in CDSC in trust for its members who are authorised to operate as stockbrokers and investment banks in the Nairobi Securities Exchange (NSE).

The NSE Limited Liability Partnership (NSE LLP) was set up to run the Unquoted Securities Platform. The Partners of the NSE LLP are the NSE PLC, the Chief Executive Officer and the Head, Trading, Data and Analytics of the NSE PLC. The LLP has a Management Committee that that oversees the day to day activities of the LLP. As per the Partnership Deed, NSE PLC shall contribute 100% of the capital of the NSE LLP and is allocated all the profits and losses of NSE LLP.

BUSINESS REVIEW

In 2025, the Kenyan equity market recorded a highly bullish year, delivering robust performance. The market was characterized by significant valuation gains, heightened trading activity, and a broad - based rally across key sectors, supported by improved investor confidence, stronger corporate earnings, and relative currency stability.

Equity market turnover increased by 37% to close the year at Shs.145.4 billion, compared to Shs. 105.9 billion recorded over a similar period in 2024. Year-on-year trading volumes in the equity market also grew by 28%, to 6.3 billion shares, up from 4.9 billion in 2024. During the year, market capitalization surged from Shs. 1.93 trillion to Shs. 2.94 trillion as share prices soared.

REPORT OF THE DIRECTORS (CONTINUED)

BUSINESS REVIEW (CONTINUED)

In the bond market, turnover soared by 75.5%, closing the year at Shs. 2.71 trillion, up from Shs. 1.54 trillion in 2024. The strong performance was supported by the increased frequency of the secondary market government bond reopenings in the primary market, which boosted activity in the secondary market.

The derivatives market recorded a turnover of Shs. 249 million representing a 47% increase compared to Shs. 170 million traded in 2024. Total number of contracts increased 698% from 6,683 to 53,333 while open interest peaked at 7,620 contracts valued at Shs. 27.9 million up from 638 contracts valued at Shs. 20.5 million in 2024. The activity in the derivatives market was driven by the reduction in contract sizes, listing of new KPLC, LBTY, KEGN, BRIT and KNRE contracts, and the introduction of a new market maker to provide liquidity.

The Group recorded a 134% year-on-year increase in profit after tax, rising from Shs. 116.3 million to Shs. 272.2 million, reflecting strong operational performance and improved profitability in the year under review. This robust bottom-line growth was primarily driven by a significant uptick in trading activity across both the equities and fixed-income markets.

Equity transaction levy grew by 37%, climbing to Shs. 348.1 million from Shs. 253 million in 2024, as the market benefited from increased liquidity and heightened trading acivity from both domestic and foreign investors.

During the period, the fixed-income segment demonstrated exceptional resilience, with bond transaction levy soaring by 75% to Shs. 298.1 million, up from Shs.169.9 million in 2024.

In line with the Group's revenue diversification strategy, non-trading income streams continued to deliver strong growth. Data income increased by 17%, rising from Shs. 101.3 million in 2024 to Shs. 118.3 million in 2025, while consultancy income grew significantly by 85%, from KSh 23.2 million to Shs. 42.9 million over the same period.

Total expenses increased by 10%, from Shs. 673.2 million in 2024 to Shs. 741.5 million in 2025. This includes a Shs. 47.7 million impairment relating to the current automated trading system, which is scheduled to be replaced in 2026 as part of the Exchange's technology modernization programme.

The fair value gain on equity investment of Shs. 284.7 million relates to unrealised gain on the NSE's investment on quoted equity instrument.

Return on assets and return on equity increased from 5.4% and 5.9% respectively in 2024 to 9.9% and 11.1% in 2025.

DIVIDEND

The Group profit for the year of Shs 272,298,000 (2024: Shs 116,300,000) has been added to retained earnings. The Directors recommend the approval of a first and final dividend of Shs 1.00 per share comprising of an ordinary dividend of Shs 0.73 per share and a special dividend of Shs 0.27 per share amounting to Shs 261 million (2024: Shs 0.32 per share amounting to Sh 83 million).

REPORT OF THE DIRECTORS (CONTINUED)

DIRECTORS

Mr. Paul Mwai retired as Vice Chairman and Director of the Company on 21st May 2025. Mr. Tom Mulwa and Ms. Nancy Noreh were appointed as Directors of the Company on 10th September 2025 and 6th October 2025 respectively.

The current members of the Board of Directors are as shown on page 1.

STATEMENT AS TO DISCLOSURE TO THE GROUP'S AUDITOR

With respect to each director at the time this report was approved:
(a) there is, so far as the person is aware, no relevant audit information of which the group's auditor is unaware; and
(b) the person has taken all the steps that the person ought to have taken as a director so as to be aware of any relevant audit information and to establish that the group's auditor is aware of that information.

TERMS OF APPOINTMENT OF THE AUDITOR

PKF Kenya LLP was appointed during the year and continues in office in accordance with the company's Articles of Association and Section 719 of the Kenyan Companies Act, 2015. The directors monitor the effectiveness, objectivity and independence of the auditor. The directors also approve the annual audit engagement contract which sets out the terms of the auditor's appointment and the related fees.The auditors' remuneration for provision of audit and non-audit services in the year is disclosed in note 7 to the financial statements

BY ORDER OF THE BOARD

Approved by the board of directors on 26th March 2026 and signed on its behalf by:

Ms. Millicent Ngetich
Company Secretary
Nairobi

CORPORATE GOVERNANCE STATEMENT

Overview

Corporate governance is at the heart of the structures and processes guiding the leadership of the Group. The Group has instituted systems to ensure that high standards of corporate governance are maintained at all levels of the organization and is in compliance with the requirements of all applicable laws and regulations including but not limited to the Capital Markets Act and regulations, rules and guidelines thereunder on Corporate Governance and the Nairobi Securities Exchange (NSE) regulations, rules, policies and procedures.

The Role of the Board

The Board is collectively responsible to the Group's shareholders for the long-term success of the Group and its strategic direction, its values and governance. It provides the leadership, integrity, enterprise and good judgment necessary to meet its business objectives within the framework of its internal controls while also discharging the Group's obligations to its shareholders.

The Key Responsibilities of the Board include:

a) To define and chart out the Group's vision and mission. The Board has ultimate responsibility for the attainment of the Group's vision;

b) To set the strategy, approve business plans and annual budgets and any subsequent material changes in strategic direction;

c) To monitor Management's implementation of the strategic plans and financial objectives as defined by the Board;

d) To define levels of materiality, reserving specific powers to itself and delegating other matters with the necessary written authority to Management;

e) To ensure that the Group is managed with a view to ensuring that the Group is ethical in all its dealings and has put in place sustainable business practices;

f) To ensure that procedures and processes are in place to protect the Group's assets and reputation;

g) To ensure compliance by the Group with all relevant laws and regulations, audit and accounting principles, and such other principles as may be established by the Board from time to time;

h) To approve Terms of Reference of Board Committees and make appointments and changes in the composition of such Committees as are established from time to time;

i) To identify key risks for the Group and establish mechanisms for managing or mitigating them;

j) To set policies on internal controls and obtain regular assurance that the system is functioning effectively and is effective in managing risks;

k) To appoint the Chief Executive Officer and senior management staff;

l) To procure suitable external auditors for shareholder: and

m) To exercise such other powers as are necessary to enforce the requirements of the Capital Markets Act and regulations and guidelines thereunder, the NSE's Articles of Association and the internal regulations and rules governing the Group.

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

Division of Responsibilities

The Chairman and the Chief Executive Officer are responsible for the sustainable operations of the Group. Their roles are separate, with each having distinct and clearly defined roles and responsibilities. The Chairman directs the Board's business and acts as it's facilitator and guide ensuring that the Board effective in its tasks of setting and implementing the Group's direction and strategy. The Chairman is responsible for leadership of the Board, for ensuring its effectiveness on all aspects of its role and for facilitating the productive contribution of all Directors. The Chairman sets the agenda for the Board meetings in consultation with the Chief Executive Officer. The Chairman is accountable to the Board for leading the direction of the Group's corporate and financial strategy and for the overall supervision of the policies, rules and regulations governing the Group.

The Chief Executive Officer has overall responsibility for the business of the Group. The Chief Executive Officer enforces the provisions of the Capital Markets Act (the "Act") and the rules of the Group and immediately reports any violations to the Board and the Capital Markets Authority ("CMA/Authority") and ensures compliance with the requirements of the Act, and rules in operations, transactions and all affairs of the Group including listings and continuous reporting obligations of listed companies.

The Chief Executive Officer is also responsible for the supervision of the trading activities of the Group and takes all necessary steps to maintain orderly and efficient trading and functioning of facilities, in accordance with the Group's rules and as prescribed by the Act.

The Chief Executive Officer reports periodically to the Board on all matters concerning the operation and affairs of the Group, attends all meetings of the Committees and provides technical input where necessary and promotes the objectives and functions of the Group. The Chief Executive Officer also liaises with the Authority and its representatives in respect of administrative, regulatory and technical matters of the Group. The Chief Executive Officer is also responsible for the stewardship of the Group's assets and, jointly with the Chairman, for representation of the Group externally.

Board Composition

As at the date of this Annual Report, the Board of the Nairobi Securities Exchange Plc is constituted as follows:

a). Five (5) Independent and Non-Executive Directors;
b). Two (2) Directors appointed to represent Trading Participants;
c). Two (2) Directors appointed to represent Listed Companies; and the
d). Chief Executive Officer

Below is the current composition of the Board:

Mr. Kiprono Kittony, EBS	Chairman/Independent Non-Executive Director
Mr. John Niepold	Independent Non-Executive Director
Mr. Stephen Chege	Listed Companies/Non-Executive Director
Mr. Donald Wangunyu	Trading Participant/Non-Executive Director
Ms. Risper Alaro	Listed Companies/Non-Executive Director
Ms. Isis Nyong'o	Independent Non-Executive Director
Ms. Caroline Kariuki	Independent Non-Executive Director
Mr. Tom Mulwa	Independent Non-Executive Director
Ms. Nancy Noreh	Trading Participant/Non-Executive Director
Mr. Frank Lloyd Mwiti	Chief Executive Officer

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

Board Committees

The Board established six (6) Board Committees with delegated authority to assist the Board effectively carry out its obligations. These Board Committees are:

a). Finance and Investment Committee
b). Trading and Technology Committee
c). Audit, Risk and Compliance Committee
d). Self-Regulatory Organization and Listing Committee (SROLC)
e). Remuneration, Nominating and Human Capital Committee
f). Derivatives Market Oversight Committee

Other than the Derivatives Market Oversight Committee and Trading and Technology Committee, both which have external resource persons, all other Committees are composed of Board members only.

At each ordinary Board meeting, the chairpersons of the Board Committees are required to report to the Board on the highlights of the deliberations of the Committees and to escalate to the Board all matters requiring the Board's consideration and approval.

The Board reviews the Committee composition every year to ensure that the Committees have suitable, appropriate and relevant skills required to effectively discharge the mandate of the Committees and the Board as a whole. The review also aids in incorporating into Committees any members who may have retired from the Board and also those who may join the Board in the course of the year. The Committee membership review took place in November 2025.

The Committee Terms of Reference are also reviewed on an annual basis to ensure that they are up to date to factor in any developments in the organizations strategic direction, operations, industry practice and global best practices. The annual review in 2025 took place in November 2025.

Below is a summary of the mandates, functions, membership and activities of the various committees:

- Finance and Investment Committee

  The mandate of the Finance and Investment Committee is to deal with all matters relating to the prudent financial management of the organization (the Group, which includes NSE PLC subsidiaries), including reviewing and advising on the financial statements and management accounts. In addition, the Committee reviews and approves annual budgets, ensuring they are realistic and aligned with the NSE's strategic objectives, oversees NSE's investments, cash management, funding strategies, and liquidity needs to ensure the NSE can meet its financial obligations. The Committee evaluates and advises on potential investment opportunities and oversees the procurement at the NSE to ensure compliance with the Procurement manuals and procedures. The Committee provides oversight on the operations of the Unquoted Scripts Platform (USP), run by the NSE LLP and handles matters stemming from the NSE's strategic plan and which relate to the Committee.

- Trading and Technology Committee

  The Trading and Technology Committee's mandate is to assist the Board in relation to trading and markets operations, information technology infrastructure, data service provision and dissemination of market information to capital markets stakeholders and the general public. The Committee also monitors the state of technology capabilities within NSE and identifies and manages the associated risks and opportunities that could have significant impact on the organization's operations.

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

Board Committees (continued)

- Audit, Risk and Compliance Committee

  The mandate of the Audit, Risk and Compliance Committee is to monitor, review and make recommendations to the Board on the adequacy of NSE's internal control, internal and external audit programs, risk management and compliance monitoring systems and to monitor the organization's Corporate Governance practices including compliance with relevant laws, regulations and rules in respect of the Group's business.

- Self-Regulatory Organization and Listing Committee (SROLC)

  The mandate of the Self-Regulatory Organization and Listing Committee is to enforce the NSE Market Participants Business Conduct and Enforcement Rules, 2014, the Listing Rules, Continuous Listing Obligations Regulations, the Derivatives Rules, the NSE Trading Rules and any other Regulations or Rules of the NSE as are in force, as may be necessary for the maintenance of a fair and orderly market and to ensure compliance with any other capital market legislation and the enforcement powers of which have been delegated to the SROLC function of the NSE.

- Remuneration, Nominating and Human Capital Committee

  The Remuneration, Nominating and Human Capital Committee advises and assists the Board in effective discharge of its responsibilities in relation to the composition of the Board and its remuneration, and to establish a plan of continuity for the Chief Executive Officer as appropriate. The Committee also advises, implements and assists the Board in effective discharge of its responsibilities in relation to Human Capital Management.

- Derivatives Market Oversight Committee

  The Derivatives Market Oversight Committee advises the Board on the oversight of, and strategic issues relating to the NSE's Derivatives Market and the Derivatives Clearing House including addressing conflict of interest matters regarding futures brokers, issues arising in the design of derivatives contracts and undertaking trading and surveillance functions.

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

BOARD & BOARD COMMITTEES’ MEMBERSHIP AND NUMBER OF MEETINGS HELD AND ATTENDED IN 2025

Director	Classification	Designation		Board	Finance & Investment Committee	Trading and Technology Committee	Audit, Risk & Compliance Committee	Self-Regulatory Organization and Listing Committee	Remuneration, Nominating & Human Capital Committee	Derivatives Market Oversight Committee
K Kittony, EBS	Non-executive	Chairman - Board	Membership	✓						
			Attendance	6/6						
P Mwai*	Non-executive		Membership							
			Attendance	1/2	2/2	2/2				
J Niepold	Non-executive	Chairman - Finance & Investment Committee, and Derivatives Market Oversight Committee	Membership	✓	✓		✓	✓		✓
			Attendance	6/6	4/4		4/4	4/4		4/4
D Wangunyu	Non-executive	Chairman – Trading and Technology Committee	Membership	✓		✓			✓	
			Attendance	6/6		4/4			5/5	
S Chege	Non-executive		Membership	✓	✓	✓			✓	
			Attendance	5/6	3/4	4/4			5/5	
R Alaro	Non-executive		Membership	✓	✓		✓		✓	
			Attendance	4/6	3/4		4/4		4/5	

*Retired as a Director of the Company on 21st May 2025.

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

BOARD & BOARD COMMITTEES' MEMBERSHIP AND NUMBER OF MEETINGS HELD AND ATTENDED IN 2025 (CONTINUED)

Director	Classification	Designation		Board	Finance & Investment Committee	Trading and Technology Committee	Audit, Risk & Compliance Committee	Self-Regulatory Organization and Listing Committee	Remuneration, Nominating & Human Capital Committee	Derivatives Market Oversight Committee
C Kariuki	Non-executive	Chairperson - Remuneration Nominating & Human Capital Committee	Membership	✓			√	√	√	
			Attendance	6/6			2/4	4/4	4/5	
I Nyong'o	Non-executive	Chairperson – Self-Regulatory Organization & Listing Committee and Audit, Risk & Compliance Committee	Membership	✓			√	√	√	
			Attendance	6/6			4/4	4/4	5/5	
T Mulwa**	Non-executive		Membership	✓						
			Attendance	1/1						
N Noreh***	Non-executive		Membership	✓						
			Attendance	1/1						
Frank Lloyd Mwiti		Chief Executive Officer	Membership							
			Attendance	6/6	4/4	4/4	4/4	4/4	5/5	4/4

**Appointed as a Director of the Company on 10th September 2025.
***Appointed as a Director of the Company on 6th October 2025.

The Chief Executive Officer does not form the quorum for Board Committee meetings and attends by invitation.

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

BOARD COMMITTEES' MEMBERSHIP AND NUMBER OF MEETINGS HELD AND ATTENDED IN 2025

BOARD COMMITTEES WITH EXTERNAL RESOURCE PERSONS

1 ***Derivatives Market Oversight Committee***

Name	Nature of Participation	Attendance
D. Magecha	Member	4/4
C. Grune	Member	4/4

2 ***Trading and Technology Committee***

Name	Nature of participation	Attendance
J. Waiguru	Member	4/4
E. Kihanda	Member	4/4

NAIROBI SECURITIES EXCHANGE CORPORATE GOVERNANCE FACT SHEET

Number of Board Members	10
Number of Independent Non-Executive Directors	5
Number of Non-Executive Directors representing Trading Participants	2
Number of Non-Executive Directors representing Listed Companies	2
Number of women on the Board	4
Separate Chairman and CEO	YES
Terms of Reference for Board Committees	YES
Independent Audit Committee	YES
Number of Board Meetings held in 2025	6
Number of Annual General Meetings in 2025	1
Re-election of Directors in accordance with Articles of Association	YES
Board Induction Programs conducted	YES

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

CAPITAL STRUCTURE

a). *Share capital*

The authorized and issued share capital of Nairobi Securities Exchange PLC consists of only ordinary shares as disclosed in note 25 to the financial statements.

b). *Top 20 Shareholders at 31 December 2025*

No.	Shareholder	Number of shares	%
1	Standard Chartered Kenya Nominees Ltd A/C KE004468	41,764,400	16.01%
2	Standard Chartered Kenya Nominees Ltd A/C KE22446	20,158,939	7.73%
3	Standard Chartered Kenya Nominees Ltd A/C KE002506	19,962,473	7.65%
4	Standard Chartered Kenya Nominees Ltd A/C KE003414	14,356,494	5.50%
5	Stanbic Nominees Ltd A/C NR1030823	12,997,399	4.98%
6	Stanbic Nominees Limited Ac NR1031436	12,071,233	4.63%
7	The National Treasury And Economic Planning	8,750,000	3.35%
8	The Investor Compesation Fund Board	8,750,000	3.35%
9	Standard Chartered Kenya Nominees Ltd A/C KE22816	7,247,499	2.78%
10	Nyaga Stockbrokers Limited	7,000,000	2.68%
11	Discount Securities Limited	7,000,000	2.68%
12	Kingdom Securities Limited	7,000,000	2.68%
13	Sterling Capital Limited	7,000,000	2.68%
14	Rencap Investment Bank	7,000,000	2.68%
15	Stanbic Nominees Ltd A/C NR1031142	6,879,090	2.64%
16	Dyer & Blair Investment Bank Limited	4,300,000	1.65%
17	Africa Allied Investors Limited	4,236,300	1.62%
18	NCBA Investment Bank Limited	3,500,000	1.34%
19	Nairobi Nominees Ltd A/C MSV	3,142,297	1.20%
20	Standard Chartered Kenya Nominees Ltd A/C 133935500071	2,620,468	1.00%
	Top 20 shareholders	205,736,592	78.86%
	Others	55,161,143	21.14%
	Total issued shares	260,897,735	100.00%

c). *Distribution of Shareholders at 31 December 2025*

	Number of Shareholders	Number of shares	%
Less than 500	5,904	852,321	0.33%
501 – 5,000	9,048	12,158,210	4.66%
5,001 – 10,000	592	4,310,298	1.65%
10,001 – 100,000	584	14,931,757	5.72%
100,001 – 1,000,000	49	11,520,070	4.42%
Above 1,000,000	28	217,125,079	83.22%
Totals	16,205	260,897,735	100%

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

CAPITAL STRUCTURE (CONTINUED)

d). Shareholder Analysis by Domicile at 31 December 2025

	Number of Shareholders	Number of shares	%
Individual investors			
Local	15,450	34,775,690	13.33%
East African	73	219,988	0.09%
Foreign	109	3,870,651	1.48%
	15,632	38,866,329	14.90%
Institutional investors			
Local	554	78,376,310	30.04%
East African	1	2,000	0.00%
Foreign	18	143,653,096	55.06%
	573	222,031,406	85.10%
Totals	16,205	260,897,735	100%

e). Directors Holding Shares at 31 December 2025	Number of shares	%
Mr. Stephen Waithaka Chege	15,467	0.01%
Ms. Nancy Angano Noreh	4,000	0.00%
	19,467	0.01%

DIRECTORS' REMUNERATION REPORT

INFORMATION NOT SUBJECT TO AUDIT

Statement of Group's policy on directors' remuneration

a). Nairobi Securities Exchange PLC

The Board establishes and approves formal and transparent remuneration policies to attract and retain both executive and non-executive Board members. These policies clearly state remuneration elements such as Directors' fees and attendance allowances that are competitive and in line with the industry. Non-Executive Directors are paid a sitting allowance for every meeting attended. They are not eligible for provident fund membership. The Company does not grant any personal loans, guarantees, share options or long-term incentives to its non-executive Directors. The company has taken out insurance covers for the non-executive Directors covering Directors and Officers liability insurance cover and group personal accident covering death, permanent total disability and medical expenses.

The Chief Executive Officer is the only executive director on the Board and the company has in place a remuneration policy which is aimed at ensuring compensation is competitive and aligned to the company's strategic objectives.

The Executive Director's remuneration and benefits consists of: -

- A monthly salary determined on appointment.
- An annual bonus based on the performance of the company, individual performance and general inflation considerations.
- Contributory staff provident scheme
- Non-cash benefits relating to a company-maintained vehicle and insurance cover.

There were no substantial changes to the Director's remuneration policy during the year 2025.

b). NSE Clear Limited

A managing director or other executive officer shall receive such remuneration (whether by way of salary, commission or participation in profits, or partly in one way and partly in another) as the directors may determine.

There were no substantial changes to the Director's remuneration policy during the year 2025.

c). The NSE Derivatives Settlement Guarantee Fund (SGF) and NSE Derivatives Investor Protection Fund (IPF)

In accordance with the Trust Deed of the Funds, the Board of Directors of NSE Clear Limited appoints the trustees of the Fund subject to approval by the CMA. The number of trustees is set at a minimum of Three (3). Any person, whether or not domiciled, resident or carrying on business or in the case of a body corporate carrying on business in Kenya may be appointed and hold office as a trustee.

There were no substantial changes to the trustees' remuneration policy during the year 2025.

Contract of service

a). Nairobi Securities Exchange PLC

In accordance with Article 93 of the Articles of Association of the Company, unless and until otherwise from time to time determined by an ordinary resolution of the Company, but always subject to the provisions of the Kenyan Companies Act (the Act) and the Capital Markets Act (CMA) regulations, the number of Directors (including the Chief Executive Officer and excluding alternates) shall not be less than Seven (7) and not more than Eleven (11) in number and shall be elected in accordance with the Act, the Capital Markets Act and the Company's Articles of Association.

Two Directors are elected by the members from among or to represent the trading participants and a further two Directors are elected by the members from among nominees of companies listed on the Nairobi Securities Exchange to represent the said listed companies. Any other directors are elected by the members in accordance with the Companies Act provided that at all times at least one third of the Directors must be non-executive Directors.

DIRECTORS' REMUNERATION REPORT (CONTINUED)

INFORMATION NOT SUBJECT TO AUDIT (CONTINUED)

Contract of service (continued)

a). Nairobi Securities Exchange PLC (continued)

If at any time the number of Directors falls below the minimum number fixed by or in accordance with the Company's Articles of Association, the remaining Directors may act for the purpose of convening a general meeting or for the purpose of bringing the number of Directors to such minimum, and for no other purpose.

The Non-Executive Directors are not under contract but are subject to retirement by rotation at the Annual General Meeting (AGM). CMA regulations provide for fixed terms of office for the company's Chairman and Chief Executive Officer, which shall include a maximum two consecutive 3 year terms for the Chairman and a four year term renewable once for the Chief Executive Officer. The Chairman's term of office was extended for two years with effect from 13th July 2024.

The Chief Executive Officer's contract within the period under review is for the first term for a Four (4) year's period running from 2nd May 2024. Under the terms of the contract, either party may, not less than six months to the expiry of this contract, notify the other of their intention not to extend the contract, otherwise the contract shall be automatically renewed for a further final period of four years. Either Party may also terminate the Agreement without assigning any reasons, at any time, by giving to the other not less than six months' notice in writing, or six months' salary in lieu of notice, at the end of which the Agreement shall determine.

b). NSE Clear Limited

In accordance with the Company's Articles of Association (the Articles), the directors have power at any time, and from time to time, to appoint any person to be a director, either to fill a casual vacancy, or as an addition to the existing directors, but so that the total number of directors shall not at any time exceed the number fixed in accordance with the Articles. Any director so appointed shall hold office until he is removed or his office is vacated, in each case in accordance with these Articles.

The Directors may from time to time appoint one or more of their body to the office of managing director, or to any other executive office under the Company, for such period and on such terms as they think fit, and, subject to the terms of any agreement entered into in any particular case, may revoke such appointment. The appointment of such managing director or other executive officer shall be automatically determined if he ceases from any cause to be a director.

Other than the Managing Director, the Directors are subject to retirement by rotation at every Annual General Meeting (AGM).

c). The NSE Derivatives Settlement Guarantee Fund (SGF) and NSE Derivatives Investor Protection Fund (IPF)

The Trustees are not under contract. The office of a trustee becomes vacant if: the trustee resigns with a one month's notice; becomes mentally or physically incapacitated; or by removal by the Board of NSE Clear Limited by a resolution. A trustee can also retire at any time by giving three (3) months written notice to the Board. In the event of the number of trustees falling below three, the Board shall, subject to the approval of the CMA, appoint such additional trustees as shall be necessary to make their number up to three, save where there is appointed a sole corporate trustee.

Statement of voting on the Directors' remuneration report at the Previous Annual General Meeting

a). Nairobi Securities Exchange PLC

During the Annual General Meeting held on 21st May 2025, the shareholders approved the fees paid to the Directors fees for the year ended 31st December 2024 by show of hands.

At the Annual General Meeting to be held on 21st May 2026, approval will be sought from shareholders for the fees paid to the Directors for the financial year ended 31st December 2025.

DIRECTORS' REMUNERATION REPORT (CONTINUED)

INFORMATION NOT SUBJECT TO AUDIT (CONTINUED)

Statement of voting on the Directors' remuneration report at the Previous Annual General Meeting (continued)

b). NSE Clear Limited

During the Annual General Meeting held on 25th August 2025, the shareholders approved the fees paid to the Directors for the year ended 31st December 2024 by show of hands.

At the Annual General Meeting to be held on 11th May 2026, approval will be sought from shareholders for the fees paid to the Directors for the financial year ended 31st December 2025.

c). The NSE Derivatives Settlement Guarantee Fund (SGF) and NSE Derivatives Investor Protection Fund (IPF)

The Funds do not hold annual general meetings. The fees for the Trustees are approved by the NSE Clear Limited Board.

INFORMATION SUBJECT TO AUDIT

The following table shows a single figure remuneration for the Chairman, Non-Executive Directors and Executive Director in respect of qualifying services for the year ended 31st December 2025 together with the comparative figures for 2024.

Year ended 31 December 2025

Name	Category	Fees Shs.	Sitting allowances Shs.	Gross pay + other allowances Shs.	Provident scheme contribution Shs.	Total Shs.
Kiprono Kittony	Non-Executive	1,200,000	565,716	-	-	1,765,716
Paul Mwai	Non-Executive	480,000	250,000	-	-	730,000
Isis Nyong'o	Non-Executive	720,000	1,157,140	-	-	1,877,140
Risper Alaro*	Non-Executive	720,000	892,856	-	-	1,612,856
Donald Wangunyu*	Non-Executive	720,000	1,057,140	-	-	1,777,140
Stephen Chege	Non-Executive	720,000	907,141	-	-	1,627,141
John Niepold	Non-Executive	720,000	1,271,426	-	-	1,991,426
Caroline Kariuki	Non-Executive	720,000	957,140	-	-	1,677,140
Tom Mulwa	Non-Executive	-	78,571	-	-	78,571
Nancy Noreh	Non-Executive	-	78,571	-	-	78,571
Frank Lloyd Mwiti	Executive	-	-	39,569,523	3,360,000	42,929,523
		6,000,000	7,215,701	39,569,523	3,360,000	56,145,224

*Included in the Director's fees for the year ended 31 December 2025 is amounts relating to fees earned for services rendered in other NSE Group Companies as tabulated below:

	Sitting Allowances NSE Clear Shs.	IPF Shs.	SGF Shs.	Total Shs.
Risper Alaro	47,619	47,619	47,619	142,857
Donald Wangunyu	47,619	47,619	47,619	142,857
	95,238	95,238	95,238	285,714

Frank Lloyd Mwiti was provided with a company car in the respective terms of service (non-cash benefit)

DIRECTORS' REMUNERATION REPORT (CONTINUED)

INFORMATION SUBJECT TO AUDIT (CONTINUED)

Year ended 31 December 2024

Name	Category	Fees Shs.	Sitting allowances Shs.	Gross pay + other allowances Shs.	Provident scheme contribution Shs.	Total Shs.
Kiprono Kittony	Non-Executive	1,200,000	754,286	-	-	1,954,286
Paul Mwai	Non-Executive	960,000	1,064,286	-	-	2,024,286
Isis Nyong'o	Non-Executive	720,000	1,171,429	-	-	1,891,429
Michael Turner	Non-Executive	360,000	521,429	-	-	881,429
Risper Alaro*	Non-Executive	720,000	1,142,857	-	-	1,862,857
Donald Wangunyu*	Non-Executive	720,000	1,192,857	-	-	1,912,857
Stephen Chege	Non-Executive	720,000	992,857	-	-	1,712,857
John Niepold	Non-Executive	720,000	1,221,428	-	-	1,941,428
Caroline Kariuki	Non-Executive	720,000	1,071,428	-	-	1,791,428
Geoffrey Odundo	Executive	-	-	8,929,217	467,608	9,396,825
Frank Lloyd Mwiti	Executive	-	-	22,661,602	2,230,968	24,892,570
		6,840,000	9,132,857	31,590,819	2,698,576	50,262,252

*Included in the Director's fees for the year ended 31 December 2024 is amounts relating to fees earned for services rendered in other NSE Group Companies as tabulated below:

	Sitting Allowances			
	NSE Clear Shs.	IPF Shs.	SGF Shs.	Total Shs.
Risper Alaro	95,238	95,238	95,238	285,714
Donald Wangunyu	9,524	9,524	9,524	28,572
	104,762	104,762	104,762	314,286

Geoffrey O. Odundo and Frank Lloyd Mwiti were provided with a company car in the respective terms of service (non-cash benefit).

Ms. Millicent Ngetich
Company Secretary

26th March 2026

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act, 2015 requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company and group as at the end of the financial year and of its profit or loss for that year. It also requires the directors to ensure that the company and group keeps proper accounting records that are sufficient to show and explain the transactions of the group; that disclose, with reasonable accuracy, the financial position of the company and group and that enable them to prepare financial statements of the company and group that comply with the with IFRS® Accounting Standards and the requirements of the Kenyan Companies Act, 2015. The directors are also responsible for safeguarding the assets of the company and group and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and fair presentation of the financial statements in accordance with the IFRS Accounting Standards as issued by the International Accounting Standards Board and in the manner required by the Kenyan Companies Act 2015. They also accept responsibility for:

i. Designing, implementing and maintaining such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error;
ii. Selecting and applying appropriate accounting policies; and
iii. Making accounting estimates and judgements that are reasonable in the circumstances.

The Directors confirm that the financial statements give a true and fair view of the financial position of the group and of the company as at 31 December 2025 and of the group’s financial performance and cash flows for the year then ended in accordance with IFRS Accounting Standards and the requirements of the Kenyan Companies Act, 2015.

Having made an assessment of the company's and group's ability to continue as a going concern, the directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the company's and group's ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the board of directors on 26th March 2026 signed on its behalf by:

Mr Kiprono Kittony, EBS	**Mr. Frank Lloyd Mwiti**
Chairman and Non-Executive Director	**Chief Executive Officer**

Report of the independent auditor to the members of Nairobi Securities Exchange PLC

Report on the Audit of the Consolidated and Separate Financial Statements

Opinion

We have audited the consolidated and separate financial statements of Nairobi Securities Exchange PLC and its subsidiaries (together, the group), set out on pages 24 to 90, which comprise the consolidated and company statements of financial position as at 31 December 2025, and the consolidated and company statements of profit or loss and other comprehensive income, statements of changes in equity and statements of cash flows for the year then ended, and notes to the consolidated and company financial statements, including material accounting policy information.

In our opinion, the accompanying consolidated and separate financial statements give a true and fair view of the consolidated and company's financial position as at 31 December 2025, and of the consolidated and company's financial performance and cash flows for the year then ended in accordance with IFRS® Accounting Standards and the requirements of the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) as applicable to audits of financial statements of public interest entities, together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated and company financial statements of the current period. We have determined that there are no key audit matters to report.

Other information

The directors are responsible for the other information. The other information comprises the corporate information, directors' report, corporate governance statement, statement of directors' responsibilities and directors' remuneration report (but does not include the consolidated and separate financial statements and our auditor's report thereon).

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.
If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Report of the independent auditor to the members of Nairobi Securities Exchange PLC (continued)

Report on the Audit of the Consolidated and Separate Financial Statements (continued)

Responsibilities of directors for the consolidated financial statements

The directors are responsible for the preparation of the consolidated and separate financial statements that give a true and fair view in accordance with IFRS Accounting Standards and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Company and Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the financial reporting process.

Auditor's responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the group's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.

- Conclude on the appropriateness of director's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the group to cease to continue as a going concern.

Report of the independent auditor to the members of Nairobi Securities Exchange PLC (continued)

Report on the Audit of the Consolidated and Separate Financial Statements (continued)

Auditor's responsibilities for the audit of the consolidated financial statements (continued)

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other matters prescribed by the Kenyan Companies Act, 2015

In our opinion, the information given in the report of the directors on pages 3 - 5 is consistent with the financial statements.

Report of the independent auditor to the members of Nairobi Securities Exchange PLC (continued)

Report on the Audit of the Consolidated and Separate Financial Statements (continued)

Directors' remuneration report

In our opinion, the auditable part of the directors' remuneration report on pages 15 to 18 has been properly prepared in accordance with the Kenyan Companies Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is FCPA Chaudhry Mohamed Asif, Practising Certificate No. 2059.

For and on behalf of PKF Kenya LLP
Certified Public Accountants
NAIROBI

26-MARCH-**2026**

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STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2025

		Group		Company	
		2025	**2024**	**2025**	**2024**
	Notes	**Shs '000'**	**Shs '000'**	**Shs '000'**	**Shs '000'**
Revenue					
Transaction levy - equity	6	348,141	253,650	348,141	253,650
Transaction levy - bond	6	298,113	169,881	298,113	169,881
Data income	6	118,318	101,299	-	101,299
Annual, initial and additional listing fees	6	71,153	69,508	70,653	66,773
Interest income computed on effective interest rate	9	127,878	146,960	111,502	120,707
Broker back-office subscription	6	28,901	33,023	28,901	33,023
Unquoted securities platform fees	6	3,040	1,037	-	-
Dividend from equity investment		7,276	8,279	7,276	8,279
Other income	10	86,333	44,764	43,452	41,735
Share of surplus - NSE LLP	17	-	-	44,671	3,660
Total income		1,089,153	828,401	952,709	799,007
Staff costs	8(a)	263,845	206,298	193,500	206,298
System maintenance costs		76,967	82,226	76,967	82,226
Depreciation and amortization	12,14	38,441	39,107	38,194	38,860
Building and office costs		32,534	41,350	28,337	39,504
Directors' emoluments	34(a)	56,145	50,262	46,821	49,948
Revaluation loss on property		3,617	20,778	3,617	20,778
Share of bond levy		58,756	37,487	58,756	37,487
Impairment of equipment and intangible assets	12, 14	47,670	-	47,670	-
Other expenses	8(b)	163,478	195,759	117,040	183,354
Total expenses		741,453	673,267	610,902	658,455
Profit before ECL and fair value movements		347,700	155,134	341,807	140,552
Provision for expected credit losses (ECL)	37(b)(iii)	(23,597)	(8,748)	(20,626)	(3,504)
Unrealized gain on bond market to market valuation		5,602	7,734	5,602	7,734
Share of profit of associate	15(b)	34,379	8,703	19,099	4,835
Profit before income tax	7	364,084	162,823	345,882	149,617
Tax expense	11(a)	(91,786)	(46,523)	(90,916)	(42,305)
Profit after tax for the year		272,298	116,300	254,966	107,312

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2025 (CONTINUED)

		Group		Company	
		2025	2024	2025	2024
	Notes	Shs '000'	Shs '000'	Shs '000'	Shs '000'
Profit after tax for the year		272,298	116,300	254,966	107,312
Other comprehensive income					
Items that will not be reclassified to profit or loss					
Fair value gain on equity instruments at fair value through through other comprehensive income	18	298,904	14,650	298,904	14,650
Fair value adjustment from associate on investment in government securities	15(b)	1,638	1,182	910	657
		300,542	15,832	299,814	15,307
Total comprehensive income for the year		572,840	132,132	554,780	122,619
Profit for the year attributable to:					
Ordinary equity holders of the parent	33	272,241	116,272	254,966	107,312
Non-controlling interest	16(d)	57	28	-	-
		272,298	116,300	254,966	107,312
Total comprehensive income for the year attributable to:					
Ordinary equity holders of the parent		572,783	132,104	554,780	122,619
Non-controlling interest	16(d)	57	28	-	-
		572,840	132,132	554,780	122,619
		Shs	Shs	Shs	Shs
Earnings per share - Basic and diluted	33	1.04	0.45	0.98	0.41

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 2025

		As at 31 December	
		2025	**2024**
ASSETS	**Notes**	**Shs'000**	**Shs'000**
Non-current assets			
Property and equipment	12	73,732	99,773
Investment property	13	304,188	303,835
Intangible assets	14	18,804	89,840
Investment in associate	15(b)	212,053	176,036
Financial assets at fair value through other comprehensive income – Quoted equity instrument	18	446,675	147,771
Long-term restricted investments	19	83,328	144,902
Government securities at amortised cost	20(a)	198,840	201,813
Deferred income tax	21	45,526	8,639
		1,383,146	1,172,609
Current assets			
Trade and other receivables	22(a)	241,799	103,977
Financial assets at fair value through profit or loss - Government securities	20(b)	139,392	133,096
Tax recoverable	11(c)	-	70,685
Fixed deposits	23	873,366	257,130
Short-term restricted cash and investment	23	-	292,628
Cash and cash equivalents	23	124,357	120,687
		1,378,914	978,203
TOTAL ASSETS		2,762,060	2,150,812
EQUITY AND LIABILITIES			
Equity			
Share capital	25	1,043,591	1,042,538
Share premium	26	280,225	279,725
Revaluation reserve		373,775	74,871
Other reserves		(1,808)	(3,446)
Retained earnings		756,417	567,579
		2,452,200	1,961,267
Non-controlling interest	16(d)	6,945	6,888
Total equity		2,459,145	1,968,155
Non-current liabilities			
Settlement Guarantee Fund members contributions	28	11,750	11,750
Tenant deposits	29(a)	4,954	3,283
		16,704	15,033
Current liabilities			
Trade and other payables	29(b)	158,277	103,463
Tax payable	11(c)	26,578	-
Grant balances	31	32,988	-
Dividends payable	30	66,168	61,961
Trading members' contributions		2,200	2,200
		286,211	167,624
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		2,762,060	2,150,812

The financial statements on pages 24 to 90 were approved and authorised for issue by the board of directors on 26th March 2026 and were signed on its behalf by:

Mr Kiprono Kittony, EBS
Chairman and Non-Executive Director

Mr. Frank Lloyd Mwiti
Chief Executive Officer

Report of the independent auditor - pages 20 to 23.

COMPANY STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER 2025

		As at 31 December	
		2025	2024
ASSETS	**Notes**	**Shs'000**	**Shs'000**
Non-current assets			
Property and equipment	12	73,443	99,237
Investment property	13	304,188	303,835
Intangible assets	14	18,644	89,840
Investment in associate	15(b)	98,949	78,940
Investment in subsidiaries and structured entities	16	182,899	248,899
Investment in NSE LLP	17	55,383	10,931
Financial assets at fair value through other comprehensive income – Quoted equity instrument	18	446,675	147,771
Government securities at amortised cost	20(a)	198,840	201,813
Deferred income tax	26	45,273	8,639
		1,424,294	1,189,905
Current assets			
Trade and other receivables	22(a)	215,881	100,143
Due from related party	34(e)(i)	17,198	11,929
Financial assets at fair value through profit or loss - Government securities	20(b)	139,392	133,096
Tax recoverable	11(c)	-	63,394
Fixed deposits	23	800,642	257,130
Short-term restricted cash and investments	23	-	292,628
Cash and cash equivalents	23	83,002	102,150
		1,256,115	960,470
TOTAL ASSETS		2,680,409	2,150,375
EQUITY AND LIABILITIES			
Equity			
Share capital	25	1,043,591	1,042,538
Share premium	26	280,225	279,725
Revaluation reserve		373,775	74,871
Other reserves		(1,004)	(1,914)
Retained earnings		770,356	598,793
Shareholders' funds		2,466,943	1,994,013
Non-current liabilities			
Tenant deposits	29(a)	4,954	3,283
Current liabilities			
Trade and other payables	29(b)	96,366	90,400
Tax payable	11(c)	37,596	-
Dividends payable	30	66,154	61,898
Due to NSE LLP	34(e)(i)	8,396	781
		208,512	153,079
TOTAL SHAREHOLDERS' FUNDS AND LIABILITIES		2,680,409	2,150,375

The financial statements on pages 24 to 90 were approved and authorised for issue by the board of directors on 26th March 2026 and were signed on its behalf by:

Mr Kiprono Kittony, EBS
Chairman and Non-Executive Director

Mr. Frank Lloyd Mwiti
Chief Executive Officer

Report of the independent auditor - pages 20 to 23.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

Year ended 31 December 2024	**Notes**	**Share capital Shs'000**	**Share premium Shs'000**	**Revaluation reserve Shs'000**	**Other reserves Shs'000**	**Retained earnings Shs'000**	**Due to owners of the parent Shs'000**	**Non-controlling interest Shs'000**	**Total Shs'000**
At start of year		1,041,810	279,489	60,221	(4,628)	492,979	1,869,871	6,860	1,876,731
Profit for the year		-	-	-	-	116,272	116,272	28	116,300
Other comprehensive income for the year		-	-	14,650	1,182	-	15,832	-	15,832
Total comprehensive income for the year		**-**	**-**	**14,650**	**1,182**	**116,272**	**132,104**	**28**	**132,132**
2023 dividend declared in the year	10	-	-	-	-	(41,672)	(41,672)	-	(41,672)
Issue of shares to employees share ownership plan (note 27)	10	728	236	-	-	-	964	-	964
At end of year		1,042,538	279,725	74,871	(3,446)	567,579	1,961,267	6,888	1,968,155
Year ended 31 December 2025									
At start of year		1,042,538	279,725	74,871	(3,446)	567,579	1,961,267	6,888	1,968,155
Profit for the year		-	-	-	-	272,241	272,241	57	272,298
Other comprehensive income for the year		-	-	298,904	1,638	-	300,542	-	300,542
Total comprehensive income for the year		**-**	**-**	**298,904**	**1,638**	**272,241**	**572,783**	**57**	**572,840**
2024 dividend declared in the year		-	-	-	-	(83,403)	(83,403)	-	(83,403)
Issue of shares to employees share ownership plan (note 27)		1,053	500	-	-	-	1,553	-	1,553
At end of year		1,043,591	280,225	373,775	(1,808)	756,417	2,452,200	6,945	2,459,145

The revaluation reserve relates to the valuation of equity instruments through other comprehensive income.
Other reserves relate to the Company’s share of the fair value adjustments of the associate through other comprehensive income.

COMPANY STATEMENT OF CHANGES IN EQUITY

	Notes	Share capital Shs'000	Share premium Shs'000	Revaluation reserve Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Total Shs'000
Year ended 31 December 2024							
At start of year		1,041,810	279,489	60,221	(2,571)	533,153	1,912,102
Profit for the year		-	-	-	-	107,312	107,312
Other comprehensive income for the year		-	-	14,650	657	-	15,307
Total comprehensive income for the year		**-**	**-**	**14,650**	**657**	**107,312**	122,619
2023 dividend declared in the year		-	-	-	-	(41,672)	(41,672)
Issue of shares to employee share ownership plan (note 27)		728	236	-	-	-	964
At end of year		1,042,538	279,725	74,871	(1,914)	598,793	1,994,013
Year ended 31 December 2025							
At start of year		1,042,538	279,725	74,871	(1,914)	598,793	1,994,013
Profit for the year		-	-	-	-	254,966	254,966
Other comprehensive income for the year		-	-	298,904	910	-	299,814
Total comprehensive income for the year		**-**	**-**	**298,904**	**910**	**254,966**	**554,780**
2024 dividend declared in the year		-	-	-	-	(83,403)	(83,403)
Issue of shares to employee share ownership plan (note 27)		1,053	500	-	-	-	1,553
At end of year		1,043,591	280,225	373,775	(1,004)	770,356	2,466,943

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2025

		Group		Company	
		2025	**2024**	**2025**	**2024**
	Notes	**Shs'000**	**Shs'000**	**Shs'000**	**Shs'000**
Cash flows from operating activities					
Profit before tax		364,084	162,823	345,882	149,617
Adjustments for non-cash items		(61,174)	(93,118)	(76,391)	(66,901)
Working capital changes		(48,349)	39,379	(105,755)	42,029
Cash generated from operations	32	254,561	109,084	163,736	124,745
Tax paid	11(c)	(31,410)	(17,291)	(26,251)	(13,168)
Net cash generated from operating activities		223,151	91,793	137,485	111,577
Cash flows from investing activities					
Purchase of property and equipment	12	-	(36,901)	-	(36,901)
Purchase of intangible assets	14	(519)	(4,214)	(359)	(4,214)
Interest received		114,991	144,169	100,699	119,209
Proceeds on disposal of equipment		533	682	533	682
Purchase of treasury bonds		(2,068)	(59,280)	(2,068)	(59,280)
Sale of treasury bonds		-	167,097	-	167,097
Investment in fixed deposits		(315,550)	(460,700)	(244,616)	(460,700)
Investment in long term restricted investments		60,272	(244)	-	-
Dividend received from associate		-	-	-	15,644
Cash used in investing activities		(142,341)	(249,391)	(145,811)	(258,463)
Cash flows from financing activities					
Dividends paid	30	(79,196)	(39,932)	(79,147)	(39,011)
Receipt of SGF capital contribution		-	-	66,000	-
Net cash used in financing activities		(79,196)	(39,932)	(13,147)	(39,011)
Increase/(decrease) in cash and cash equivalents		1,614	(197,530)	(21,473)	(185,897)
Movement in cash and cash equivalents					
At start of year		115,521	318,806	97,661	289,313
Increase/(decrease) in cash and cash equivalents		1,614	(197,530)	(21,473)	(185,897)
Effect of foreign exchange rate changes		(387)	(5,755)	(387)	(5,755)
At end of year	23	116,748	115,521	75,801	97,661

Report of the independent auditor - pages 20 to 23.

NOTES TO THE FINANCIAL STATEMENTS

1. **REPORTING ENTITY**

The Nairobi Securities Exchange Plc (NSE/the "Company"/the "Exchange") was incorporated in Kenya under the Companies Act and is domiciled in Kenya. The NSE is licensed as an exchange by the Capital Markets Authority (CMA) of Kenya and obtained a license on 19 October 2015 to operate a derivatives exchange. The NSE currently has the primary market services as a main line of business. The consolidated financial statements of the Group at and for the year ended 31 December 2025 comprise the Company and subsidiaries and controlled structured entities (collectively referred to as the "Group") and reflect the Company's interest in an associate company.

2. **STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION**

The material accounting policies applied in the preparation of these consolidated and separate financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a. **Statement of compliance**

The consolidated and separate financial statements have been prepared in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board. The consolidated and separate financial statements are presented in Kenya Shillings (Shs), rounded to the nearest thousand.

b. Basis of preparation

The financial statements comprise a profit and loss account (statement of profit or loss and other comprehensive income), balance sheet (statement of financial position), statement of changes in equity, statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income (OCI), are recognised in the profit or loss. Other comprehensive income is recognised in other comprehensive income and comprises items of income and expense (including reclassification adjustments) that are not recognised in the profit or loss as required or permitted by IFRS Accounting Standards. Reclassification adjustments are amounts reclassified to the profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owners of the Company in their capacity as owners are recognised in the statement of changes in equity.

i). Basis of measurement

The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies below. Under the historical cost basis, assets are recorded at the amount of cash or cash equivalents paid or the fair value of the consideration given to acquire them at the time of their acquisition. Liabilities are recorded at the amount of proceeds received in exchange for the obligation or, in some cases, at the amounts of cash or cash equivalents expected to be paid to satisfy the liability in the normal course of business. For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Group uses market observable data as far as possible.

2. **STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION (CONTINUED)**

b. Basis of preparation (continued)

i). Basis of measurement (continued)

If the fair value of an asset or a liability is not directly observable, it is estimated by the Group using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset/liability that market participants would take into account.characteristics of the asset/liability that market participants would take into account.

ii). Use of estimates and judgment

The preparation of financial statements in conformity with IFRS Accounting Standards requires the use of certain critical accounting estimates. It also requires the directors to exercise their judgment in the process of applying the Group's and Company's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 4.

c. Adoption of new and revised IFRS Accounting Standards

i). Relevant new standards and amendments to published standards effective for the year ended 31 December 2025

Several new and revised standards and interpretations became effective during the year. The Directors have evaluated the impact of the new standards and interpretations and none of them had a material impact on the Group's financial statements.

Amendments to IAS 21 - Lack of exchangeability

The IASB has published amendments to IAS 21 that specify how to assess whether a currency is exchangeable and how to determine the exchange rate when it is not.

Applying the amendments, a currency is exchangeable when an entity is able to exchange that currency for the other currency through market or exchange mechanisms that create enforceable rights and obligations without undue delay at the measurement date and for a specified purpose. However, a currency is not exchangeable into the other currency if an entity can only obtain no more than an insignificant amount of the other currency at the measurement date for the specified purpose.

ii). *Impact of new and amended standards and interpretations in issue but not yet effective*

At the date of authorization of these financial statements, the Group has not yet applied the following new and revised IFRS Accounting Standards that have been issued but are not yet effective.

2. **STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION (CONTINUED)**

c. Adoption of new and revised IFRS Accounting Standards (continued)

ii). *Impact of new and amended standards and interpretations in issue but not yet effective (continued)*

New and Amendments to standards	*Effective for annual periods beginning on or after*
Amendments to IAS 7 'Statement of Cash Flows'	1 January 2026 with earlier adoption permitted
Amendments to IFRS 9 'Financial Instruments'	1 January 2026 with earlier adoption permitted
IFRS 18 'Presentation and Disclosure in Financial Statements	1 January 2027 with earlier adoption permitted
IFRS 18, and the amendments to the other accounting standards,	1 January 2027 with earlier adoption permitted
Amendments to IFRS 1 'First-time Adoption of International Financial Reporting Standards'	1 January 2026 with earlier adoption permitted
Amendments to IFRS 7 'Financial Instruments: Disclosures'	1 January 2026 with earlier adoption permitted
Amendments to IFRS 9 and IFRS 7 'Classification and Measurement of Financial Instruments'	1 January 2026 with earlier adoption permitted
Amendments to IFRS 10 'Consolidated Financial Statements'	1 January 2026 with earlier adoption permitted
Amendments to IFRS 10 and IAS 28 'Sale or Contribution of Assets between an Investor and its Associate or Joint Venture'	Applicable from a date yet to be determined
IFRS 19 'Subsidiaries without Public Accountability: Disclosures	1 January 2027 with earlier adoption permitted

The directors do not expect that the adoption of the standards listed above will have a material impact on the financial statements of the group in future periods, except if indicated below.

- **Amendments to IAS 7 - Statement of Cash Flows**

  IAS 7 'Statement of Cash Flows' (issued in July 2024), effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted, amended paragraph 37 of IAS 7 to replace the term 'cost method' with 'at cost', following the prior deletion of the definition of 'cost method'.

- **Amendments to IFRS 9 *'Financial Instruments'* (issued in July 2024)**

  Amendments to IFRS 9 'Financial Instruments' (issued in July 2024), effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted, amended Paragraph 2.1 of IFRS 9 to clarify that, when a lessee has determined that a lease liability has been extinguished in accordance with IFRS 9, the lessee is required to apply paragraph 3.3.3 and recognise any resulting gain or loss in profit or loss. However, the amendment does not address how a lessee distinguishes between a lease modification as defined in IFRS 16 and an extinguishment of a lease liability in accordance with IFRS 9.

2. STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION (CONTINUED)

c. Adoption of new and revised IFRS Accounting Standards (continued)

ii). *Impact of new and amended standards and interpretations in issue but not yet effective (continued)*

- **Amendments to IFRS 9 *'Financial Instruments'* (issued in July 2024)**

The amendments also replace reference to 'transaction price as defined by IFRS 15 *'Revenue from Contracts with Customers'* in paragraph 5.1.3 of IFRS 9 with 'the amount determined by applying IFRS 15'. The use of the term 'transaction price' in relation to IFRS 15 was potentially confusing and so it has been removed. The term was also deleted from Appendix A of IFRS 9.

- **IFRS 18 - Presentation and Disclosures in Financial Statements**

IFRS 18 replaces IAS 1, carrying forward many of the requirements in IAS 1 unchanged and complementing them with new requirements. In addition, some IAS 1 paragraphs have been moved to IAS 8 and IFRS 7. Furthermore, the IASB has made minor amendments to IAS 7 and IAS 33 Earnings per Share.

IFRS 18 introduces new requirements to:

- present specified categories and defined subtotals in the statement of profit or loss
- provide disclosures on management-defined performance measures (MPMs) in the notes to the financial statements
- improve aggregation and disaggregation.

The amendments to IAS 7 and IAS 33, as well as the revised IAS 8 and IFRS 7, become effective when an entity applies IFRS 18. IFRS 18 requires retrospective application with specific transition provisions.

IAS 33 'Earnings per Share' has been amended to include additional requirements that permit entities to disclose additional amounts per share, only if the numerator used in the calculation meets specified criteria.

Some requirements previously included within IAS 1 have been moved to IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors', which has been renamed IAS 8 Basis of Preparation of Financial Statements'. IAS 34 'Interim Financial Reporting' has also been amended to require disclosure of MPMs.

- **IFRS 18, and the amendments to the other accounting standards,**

is effective for reporting periods beginning on or after 1 January 2027 and will apply retrospectively. Early adoption is permitted and must be disclosed.

The group is currently working to identify all impacts the amendments will have on the primary financial statements and notes to the financial statements.

- **Amendments to IFRS 1 - First-time Adoption of International Financial Reporting Standards**

(issued in July 2024), effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted, amended paragraphs B5 and B6 of IFRS 1 to include cross references to the qualifying criteria for hedge accounting in paragraph 6.4.1(a), (b) and (c) of IFRS 9. These amendments are intended to address potential confusion arising from an inconsistency between the wording in IFRS 1 and the requirements for hedge accounting in IFRS 9.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2. **STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION (CONTINUED)**

c. Adoption of new and revised IFRS Accounting Standards (continued)

ii). ***Impact of new and amended standards and interpretations in issue but not yet effective (continued)***

- ***Amendments to IFRS 7 - Financial Instruments: Disclosures***

Investments in equity instruments designated at FVTOCI

The disclosures requirements in IFRS 7 in respect of investments in equity instruments designated at FVTOCI are amended. In particular, an entity is required to disclose the fair value gain or loss presented in OCI during the period, showing separately the fair value gain or loss that relates to investments derecognised in the period and the fair value gain or loss that relates to investments held at the end of the period. If an entity derecognises investments in equity instruments measured at FVTOCI during the reporting period, it is now required, under the amendments, to disclose any transfers of the cumulative gain or loss within equity during the reporting period related to the investments derecognised during that reporting period. Also, an entity is no longer required to disclose the reporting date fair value of each equity instruments designated at FVTOCI, this information can be provided by class of instruments.

Contractual terms that could change the timing or amount of contractual cash flows

The amendments introduce disclosure requirements for financial instruments that include contractual terms that could change the timing or amount of contractual cash flows on the occurrence (or non- occurrence) of a contingent event that does not relate directly to changes in a basic lending risks and costs (such as the time value of money or credit risk). Disclosures include a qualitative description of the nature of the contingent event, quantitative information about the possible changes to contractual cash flows as well as the gross carrying amount of financial assets and the amortised cost of financial liabilities subject to those contractual terms. The entity is required to make these disclosures by class of financial assets measured at amortised cost or FVTOCI and by class of financial liabilities measured at amortised cost.

- **Amendments to IFRS 7 and IFRS 9 – Classification and measurements of financial instruments**

Classification of financial assets

Contractual terms that are consistent with a basic lending arrangement

The application guidance in IFRS 9 is amended to provide guidance on how an entity assesses whether contractual cash flows of a financial asset are consistent with a basic lending arrangement. This is intended to assist an entity to apply the requirements for assessing contractual cash flow characteristics to financial assets with features linked to environmental, social and governance (ESG) concerns.

The IASB specifies that when assessing interest, an entity focuses on what an entity is being compensated for, rather than how much compensation it receives. Nonetheless, the amount of compensation an entity receives may indicate that the entity is being compensated for something other than basic lending risks and costs.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2. **STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION (CONTINUED)**

c. Adoption of new and revised IFRS Accounting Standards (continued)

ii). *Impact of new and amended standards and interpretations in issue but not yet effective (continued)*

- **Amendments to IFRS 7 and IFRS 9 – Classification and measurements of financial instruments (continued)**

The amendments clarify that contractual cash flows are inconsistent with a basic lending arrangement if they are indexed to a variable that is not a basic lending risk or cost (for example, the value of equity instruments or the price of a commodity) or if they represent a share of the debtor’s revenue or profit, even if such contractual terms are common in the market in which the entity operates.

In some cases, a contingent feature gives rise to contractual cash flows that are consistent with a basic lending arrangement both before and after the change in contractual cash flows, but the nature of the contingent event itself does not relate directly to changes in basic lending risks or costs. For example, the terms of a loan may specify that the interest rate is adjusted by a specified amount if the debtor achieves a contractually specified reduction in carbon emissions.

In such a case, the financial asset has contractual cash flows that are solely payments of principal and interest on the principal amount outstanding if, and only if, in all contractually possible scenarios, the contractual cash flows would not be significantly different from the contractual cash flows on a financial instrument with identical contractual terms, but without such a contingent feature. In some circumstances, the entity may be able to make that determination by performing a qualitative assessment; but, in other circumstances, it may be necessary to perform a quantitative assessment. If it is clear, with little or no analysis, that the contractual cash flows are not significantly different, an entity need not perform a detailed assessment.

Financial assets with non-recourse features

IFRS 9 is amended to enhance the description of the term ‘non-recourse’. Under the amendments, a financial asset has non-recourse features if an entity’s ultimate right to receive cash flows is contractually limited to the cash flows generated by specified assets. In other words, the entity is primarily exposed to the specified assets’ performance risk rather than the debtor’s credit risk. For example, a creditor’s ultimate right to receive cash flows may be contractually limited to the cash flows generated by specified assets of a structured entity. Contractually linked instruments. The amendments clarify the characteristics of contractually linked instruments that distinguish them from other transactions. Specifically, the amendments highlight that in such instruments a prioritisation of payments to the holders of financial assets using multiple contractually linked instruments (tranches) is established through a waterfall payment structure, resulting in concentrations of credit risk and a disproportionate allocation of losses between the holders of different tranches.

The amendments also note that not all transactions with multiple debt instruments meet the criteria of transactions with multiple contractually linked instruments; some are instead lending arrangements that are structured to provide enhanced credit protection to a creditor (or group of creditors). For example, a structured entity may be set up to hold the underlying assets that will generate the cash flows to repay the creditor. The structured entity issues senior and junior debt instruments. The creditor holds the senior debt instrument and the entity sponsoring the structured entity that holds the junior debt instrument has no practical ability to sell the junior instrument without the senior debt instrument becoming payable. Under the amendments, the holders of such debt instruments apply the requirements for contractual cash flows that are solely payments of principal and interest on the principal amount outstanding instead of the contractually linked instruments requirements.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

2. STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION (CONTINUED)

c. Adoption of new and revised IFRS Accounting Standards (continued)

ii). *Impact of new and amended standards and interpretations in issue but not yet effective (continued)*

- **Amendments to IFRS 7 and IFRS 9 – Classification and measurements of financial instruments (continued)**

  The contractually linked instruments requirements in IFRS 9 apply only if the underlying pool includes one or more instruments that have contractual cash flows that are solely payments of principal and interest. The amendments clarify that this includes financial instruments that are not within the scope of the classification requirements, provided these instruments have contractual cash flows that are equivalent to solely payments of principal and interest on the principal amount outstanding—for example, some lease receivables. The amendments specify that this would not be the case for lease receivables that are subject to residual value risk, or that comprise variable lease payments that are indexed to a variable that is not a basic lending risk or cost (for example, a market rental rate).

- **Amendments to IFRS 10 - Consolidated Financial Statements' (issued in July 2024)**

  effective for annual reporting periods beginning on or after 1 January 2026, with earlier application permitted, amended paragraph B74 of IFRS 10 to clarify that the relationship described in paragraph B74 is just one example of various relationships that might exist between the investor and other parties acting as de facto agents of the investor. The amendments are intended to remove the inconsistency with the requirement in paragraph B73 for an entity to use judgement to determine whether other parties are acting as de facto agents.

- **Amendments to IFRS 10 and IAS 28 - Sale or Contribution of Assets between an Investor and its Associate or Joint Venture - (issued in September 2014)**

  Applicable from a date yet to be determined, address a current conflict between the two standards and clarify that a gain or loss should be recognized fully when the transaction involves a business, and partially if it involves assets that do not constitute a business.

- **IFRS 19 - Subsidiaries without Public Accountability: Disclosures**

  It holds assets in a fiduciary capacity for a broad group of outsiders as one of its primary businesses (for example, banks, credit unions, insurance entities, securities brokers/dealers, mutual funds and investment banks often meet this second criterion).

  Eligible entities can apply IFRS 19 in their consolidated, separate or individual financial statements. An eligible intermediate parent that does not apply IFRS 19 in its consolidated financial statement may do so in its separate financial statements.

2. **STANDARDS AND INTERPRETATIONS AFFECTING THE REPORTED RESULTS OR FINANCIAL POSITION (CONTINUED)**

c. Adoption of new and revised IFRS Accounting Standards (continued)

ii). *Impact of new and amended standards and interpretations in issue but not yet effective (continued)*

- **IFRS 19 - Subsidiaries without Public Accountability: Disclosures (continued)**

If an entity elects to apply IFRS 19 for a reporting period earlier than the reporting period in which it first applies IFRS 18, it is required to apply a modified set of disclosure requirements set out in an appendix to IFRS 19. If an entity elects to apply IFRS 19 for an annual reporting period before it applied the amendments to IAS 21, it is not required to apply the disclosure requirements in IFRS 19 with regard to Lack of Exchangeability.

The directors of the group do not anticipate that IFRS 19 will be applied for purposes of the consolidated financial statements of the group on the basis that the group has public accountability.

iii). Early adoption of standards

The Group did not early-adopt any new or amended standards in the year ended 31 December 2025.

3. **MATERIAL ACCOUNTING POLICIES**

3.1 Basis of consolidation

The consolidated financial statements comprise the financial statements of the Nairobi Securities Exchange Plc and its subsidiaries, controlled structured entities, a limited liability partnership and interest in associate company made up to 31 December 2025. These have all been fully consolidated.

i). Subsidiaries

Subsidiaries are all entities (including structured entities) over which the group has control. The group controls an entity when the group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the group. They are deconsolidated from the date that control ceases.

The group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date.

The group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets. Acquisition-related costs are expensed as incurred.

If the business combination is achieved in stages, the acquisition date carrying value of the acquirer's previously held equity interest in the acquiree is re-measured to fair value at the acquisition date; any gains or losses arising from such re-measurement are recognised in profit or loss.

Any contingent consideration to be transferred by the group is recognised at fair value at the acquisition date. Subsequent changes to the fair value of the contingent consideration that is deemed to be an asset or liability is recognised in accordance with IFRS 9 either in profit or loss or as a change to other comprehensive income.

3. MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.1 Basis of consolidation (continued)

i). Subsidiaries (continued)

Contingent consideration that is classified as equity is not re-measured, and its subsequent settlement is accounted for within equity. The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the acquisition-date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired is recorded as goodwill. If the total of consideration transferred, non-controlling interest recognised and previously held interest measured is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in the profit or loss.

Investments in subsidiaries are carried at cost less accumulated impairment losses in the Company's separate financial statements. Details of NSE's subsidiaries are set out in Note 16.

The accounting policies of the subsidiaries have been changed where necessary to align them with the policies adopted by the Group.

ii). Structured entities

The NSE Derivatives Settlement Guarantee Fund and the NSE Derivatives Investor Protection Fund are trusts established under the Trustee Act (Cap. 167) pursuant to the statutory obligations imposed on the NSE, as a licensed exchange, by the provisions of the Capital Markets (Derivatives Markets) Regulations, 2015 and clause 1.90 and 1.10 of the NSE Derivatives Rules. Clause 1.90 requires that the NSE, shall by itself or through a clearing house, establish and maintain a Settlement Guarantee Fund to strengthen the financial integrity of the derivatives market and ensure settlement of transactions in derivatives securities in case of default by a clearing member (CM). Clause 1.10 requires that the NSE shall establish and maintain an Investor Protection Fund to satisfy specified claims by the investing public arising out of non-settlement of obligations owed to them by trading members or losses incurred by reason of the default of the trading members up to an amount specified in the rules.

Management and administration of the assets and operations of these trusts is done by a management committee formed by the NSE Clear Board of Directors. The Trustees of the funds act as the custodians and trustees of the assets of these Funds as defined in the trust deeds and rules of these Funds. The Fund's assets are segregated from the assets of the NSE and the NSE Clear Limited but are effectively controlled by NSE Clear Limited. The NSE, by virtue of its role as the parent company of the clearing house, NSE Clear Limited, has to consolidate the results of these funds in its annual financial statements.

The structured entities are stated at cost less accumulated impairment losses in the separate financial statements of the Company. Separate financial statements are prepared for the subsidiary and the structured entities, and independent external audits performed.

iii) Investment in associate

Associates are those entities which the Group has significant influence, but not control, over the financial and operating policies. Significant influence is presumed to exist when the Group holds between 20% to 50% of the voting power of another entity. The results and assets and liabilities of associates are incorporated in these financial statements using the equity method of accounting. Under the equity method, investments in associates are carried in the statement of financial position at cost as adjusted for post-acquisition changes in the Group's share of the net assets of the associate, less any impairment in the value of individual investments. Losses of an associate in excess of the Group's interest in that associate are recognised only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3. **MATERIAL ACCOUNTING POLICIES (CONTINUED)**

3.1 Basis of consolidation (continued)

iv) Partnership

The Partners of the LLP are the Chief Executive Officer and the Head of Trading and Data Analytics of the NSE PLC. The LLP also has a Management Committee that oversees the day to day activities of the LLP. The Management Committee of the LLP reports to the Board of Directors of NSE PLC. As per the Partnership Deed, NSE PLC shall contribute 100% of the capital of the NSE LLP, and all profit and losses of the NSE LLP shall be allocated to NSE PLC. Separate financial statements are prepared for the NSE LLP and independent external audit performed.

NSE LLP is stated at cost less accumulated impairment losses in the separate financial statements of the Company. The results of NSE LLP are incorporated in the statements of profit or loss in the Company's financial statements.

3.2 Transactions eliminated on consolidation

Intra-group balances and transactions and any unrealized income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements.

Unrealized gains arising from transactions with equity-accounted investees are eliminated against the investment to the extent of the Groups' interest in the investee. Unrealized losses are eliminated in the same way as unrealized gains, but only to the extent that there is no evidence of impairment.

3.3 Foreign currencies

i). Functional and presentation currency

The financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "Functional Currency"). The financial statements are presented in Kenya Shillings which is the Group's and the Company's Functional and Presentation Currency. Except as indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand.

ii). Transactions and balances

Foreign currency transactions that are transactions denominated, or that require settlement, in a foreign currency are translated into the respective functional currencies of the operations using the exchange rates prevailing at the dates of the transactions. At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Foreign currency exchange gains and losses resulting from the settlement of such transactions and from the translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Translation differences on non-monetary financial instruments, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non- monetary financial instruments, such as equities classified as financial assets through other comprehensive income are included in other comprehensive income.

3.4 Income recognition

The Group recognises income as and when it satisfies a performance obligation by transferring control of a service to a customer. The amount of income recognised is the amount the Group expects to receive in accordance with the terms of the contract, and excludes discounts and amounts collected on behalf of third parties, such as Value Added Tax.

3. MATERIAL ACCOUNTING POLICIES (CONTINUED)

3.4 Income recognition (continued)

Transaction levy income is based on a percentage of the value of shares traded and is recognised on the dates of the transactions. The transaction levy on equity is computed at the rate of 0.12% of the value of all equity transactions executed while that for bonds is computed at a rate of 0.0035% of the value of all fixed income transactions executed. The Group also earns transaction levy on bonds that was previously earned by CDSC which is at the rate of 0.002% of the value of fixed income transactions. The levy fees are computed on both the buy and sell side.

Data income is fees charged for the sale of trading data statistics. This is charged either on a lumpsum, monthly, quarterly or annual basis depending on the contract provision and how the performance obligation is satisfied throughout the contract.

Annual listing fee is computed on the basis of the daily weighted average capitalisation value of the listed securities for the 11 months period between 1 January and 30 November. This fee is generally paid in advance on the first day of the membership or subscription period. The Group recognises revenue on a straight-line basis over the period to which the fee relates, as this reflects the extent of the Group's progress towards completion of the performance obligation under the contract.

Initial listing income is recognized in the year in which the listing company makes the flotation. Additional listing income is recognized during the year in which the issuing company makes announcement of the bonus/rights issues. The initial listing and additional listing fees represent one performance obligation and are billed to the issuing company at the time of admission to trading and become payable when invoiced.

Interest income from a financial asset is recognised on a time basis by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount on initial recognition.

The Unquoted Securities Platform (USP) is an automated solution for the issuance and trading of securities of unquoted companies. The platform offers world class trading infrastructure and information services as well as enables company's access capital markets for long term funding through private placements and restricted offers. Unquoted securities platform fee is charged on the issuer application fees based on the approved rates for initial admission, annual service, secondary transfer per transaction, fund raising fee, financier admission fee and settlement custodian fee and is recognized in income on the date of the transaction.

Dividend income is recognised in profit or loss when the right to receive payment is established, which is the date the dividend is declared.

Market access fees are fees charged on the admission of a market participant as a member of the Group and are recognised over a period of three years.

Other income comprises income charged on the broker back office, rental income, net foreign exchange gains, profit on sale of property and equipment, investor protection levy, management fee, surplus distribution by Settlement Guarantee Fund, consultancy fee and miscellaneous income.

Broker back office (BBO) subscription is the fee charged on a monthly basis to trading firms that have signed on to use the BBO trading system as provided in the contract.

Rental income from investment property is recognised in profit or loss on a straight line basis over the term of the lease.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3. **MATERIAL ACCOUNTING POLICIES (CONTINUED)**

3.4 Income recognition (continued)

Management fee is charged by the NSE to the subsidiaries and structured entities to cater for expenses attributable to investment and treasury management services, staff costs and other general and administrative overheads.

Surplus distributed by the Settlement Guarantee Fund (SGF) is income charged to compensate the Clearing Members who have contributed to the SGF. This is computed at 60% of the total surplus after tax for the year for SGF and distributed to the members based on their capital contributions. Since contributions from the clearing members are refundable at any point on exit of the member, the computed surplus for the clearing members is expensed while that of the NSE is offset against retained earnings.

An investor protection levy of 0.01% is charged on the transaction value/notional value (or such other amount as may be determined by the NSE in consultation with the CMA, for all transactions in derivative securities which levy is remitted to the Investor Protrction Fund.

3.5 Property and equipment

All property and equipment is initially recorded at cost and thereafter stated at historical cost less accumulated depreciation and any accumulated impairment losses (except as stated below). Historical cost comprises expenditure initially incurred to bring the asset to its location and condition ready for its intended use.

The building is carried at revaluation less any subsequent accumulated depreciation. Revaluations are performed with sufficient regularity to ensure that the carrying amount does not differ materially from that which would be determined using fair value at the end of the year. The frequency of valuation is annual.

Motor vehicles and equipment are stated at cost less accumulated depreciation and any impairment losses.

Professional valuations on buildings are carried out in accordance with the Group policy. The fair value is determined based on the market comparable approach that reflects recent transaction prices for similar properties. In estimating the fair value of the properties, the highest and best use of the properties is their current use. There has been no change to the valuation technique during the year.

Increases in the carrying amounts of property resulting from revaluation is recognized in other comprehensive income and accumulated in equity, except to the extent that it reverses a revaluation decrease for the same asset previously recognized in profit or loss, in which case the increase is credited to profit or loss to the extent of the decrease previously expensed. A decrease in carrying amount arising on the revaluation of buildings is recognized in profit or loss to the extent that it exceeds the balance, if any, held in the properties revaluation reserve relating to a previous revaluation of that asset.

Depreciation is calculated on the straight-line basis to write down the cost of each asset to its residual value over its estimated useful life as follows:

Motor vehicles	4 years
Furniture and fittings	8 years
Office equipment	4 years
Computer equipment	4 years
Buildings	46 years

An asset’s carrying amount is written down immediately to its estimated recoverable amount if the asset’s carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposal of equipment are determined as the difference between the sales proceeds and the carrying amount of the asset at the date of disposal and taken into account in determining operating profit. Gains or losses arising from changes in fair value of the building are included in other comprehensive income in the period in which they arise net of deferred taxes.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3. **MATERIAL ACCOUNTING POLICIES (CONTINUED)**

3.6 Intangible assets

Intangible assets represent purchased computer software and is initially recognised at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses. Amortisation is calculated to write-off software on a straight-line basis over the estimated useful life of 4 – 10 years.

3.7 Impairment of tangible and intangible assets

At the end of each reporting period, the Group reviews the carrying amounts of its tangible and intangible assets to review the useful lives and determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated and an impairment loss is recognized in profit or loss whenever the carrying amount of the asset exceeds its recoverable amount.

3.8 Investment property

Investment property, which is property held to earn rental income, is stated at its fair value, at the reporting date as determined through its revaluation by external valuers on the basis of the highest and best use. Gains or losses arising from changes in fair value of the investment property are included in profit or loss in the year in which they arise.

3.9 Restricted cash and investments

The Group classifies all cash, cash equivalents and investments that are not available for general use by the Group, either due to regulatory requirements or through restrictions in specific agreements, as restricted in the accompanying statement of financial position.

Long-term restricted cash and investments

The NSE has contributed Shs 20 million (2024: Shs 20 million), Shs 34 million (2024: Shs 100 million) and Shs 10 million (2024: Shs 10 million) as seed capital to thesubsidiary, NSE Clear Limited, and the structured entities, NSE Derivatives Settlement Guarantee Fund and NSE Derivatives Investor Protectior Fund respectively. These amounts could be used in the event of a clearing/trading member's default where the amount of the defaulting clearing/trading member's initial, variation and additional margins and guarantee fund deposits are insufficient. These amounts together with related earned interest are held in bank deposits that have been classified as restricted (note 19).

3.10 Financial instruments

i). Equity instruments

Equity instruments are instruments that meet the definition of equity from the issuer's perspective; that is, instruments that do not contain a contractual obligation to pay and that evidence a residual interest in the issuer's net assets e.g. basic ordinary shares.

The Group management has elected, at initial recognition, to irrevocably designate an equity investment at fair value through other comprehensive income (FVOCI) when those investments are held for purposes other than to generate investment returns.

Dividends, when representing a return on such investments, continue to be recognised in profit or loss as other income when the Group's right to receive payment is established.

ii). Debt instruments

a). Recognition and subsequent measurement

Financial instruments are recognised when, and only when, the Group becomes party to the contractual provisions of the instrument. All financial assets are recognised initially using the trade date accounting which is the date the Group commits itself to the purchase or sale.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3. **MATERIAL ACCOUNTING POLICIES (CONTINUED)**

3.10 Financial instruments (continued)

ii). Debt instruments (continued)

a). Recognition and subsequent measurement (continued)

At initial recognition, financial assets are measured at fair value, and are classified and subsequently measured at fair value through profit or loss (FVTPL), fair value through other comprehensive income (FVTOCI) or amortized cost based on:

• the Group's business model for managing the financial assets; and
• the cash flow characteristics of the asset.

Based on these factors, the Group classifies its financial assets into one of the following three measurement categories:

• **Amortised cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/ (losses) together with foreign exchange gains and losses. Impairment losses are presented as separate line item in the statement of profit or loss.

• **FVTOCI:** Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVTOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains/ (losses). Interest income from these financial assets is included in finance income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains/ (losses) and impairment expenses are presented as separate line item in the statement of profit or loss.

• **FVTPL:** Assets that do not meet the criteria for amortised cost or FVTOCI are measured at FVTPL. A gain or loss on a debt investment that is subsequently measured at FVTPL is recognised in profit or loss and presented net within other gains/ (losses) in the period in which it arises.

Business model: the business model reflects how the Group manages the assets in order to generate cash flows i.e. whether the Group's objective is solely to collect the contractual cash flows from the assets or is to collect both the contractual cash flows and cash flows arising from the sale of assets. If neither of these is applicable (e.g. financial assets held for trading purposes), then the financial assets are classified as part of 'other' business model and measured at FVTPL. Factors considered by the Group in determining the business model for a group of assets include past experience on how the cash flows for these assets were collected, how the asset's performance is evaluated and reported to key management personnel and how risks are assessed and managed.

SPPI: Where the business model is to hold assets to collect contractual cash flows or to collect contractual cash flows and sell, the Group assesses whether the financial instruments' cash flows represent solely payments of principal and interest (SPPI test'). In making this assessment, the Group considers whether the contractual cash flows are consistent with a basic lending arrangement i.e. includes only consideration for the time value of money, credit risk, other basic lending risks and a profit margin that is consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

The Group reclassifies financial assets when and only when its business model for managing those assets changes.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3. **MATERIAL ACCOUNTING POLICIES (CONTINUED)**

3.10 Financial instruments (continued)

ii). Debt instruments (continued)

b). Impairment

The Group recognises a loss allowance for expected credit losses (ECL) on financial assets that are measured at amortised cost or at fair value through other comprehensive income.

The loss allowance is measured at an amount equal to the lifetime expected credit losses for financial instruments for which: (a) the credit risk has increased significantly since initial recognition; or (b) there is observable evidence of impairment (a credit-impaired financial asset). If, at the reporting date, the credit risk on a financial asset other than a trade receivable has not increased significantly since initial recognition, the loss allowance is measured for that financial instrument at an amount equal to 12-month expected credit losses. All changes in the loss allowance are recognised in profit or loss as impairment gains or losses.

Lifetime expected credit losses represent the expected credit losses that result from all possible default events over the expected life of a financial instrument. 12-month expected credit losses represent the portion of lifetime expected credit losses that result from default events on a financial asset that are possible within 12 months after the reporting date.

Expected credit losses are measured in a way that reflects an unbiased and probability-weighted amount determined by evaluating a range of possible outcomes, the time value of money, and reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

In applying the IFRS 9 impairment requirements, the Group follows one of the approaches below:

• The general approach
• The simplified approach

The General Approach

Under the general approach, at each reporting date, the Group determines whether the financial asset is in one of the three stages below, to determine both the amount of ECL to recognise as well as how interest income should be recognised.

• **Stage 1 -** where credit risk has not increased significantly since initial recognition. For financial assets in stage 1, the Group will recognise 12 month ECL and recognise interest income on a gross basis – this means that interest will be calculated on the gross carrying amount of the financial asset before adjusting for ECL.

• **Stage 2 -** where credit risk has increased significantly since initial recognition. When a financial asset transfers to stage 2, the Group will recognise lifetime ECL, but interest income will continue to be recognised on a gross basis.

• **Stage 3 -** where the financial asset is credit impaired. This is effectively the point at which there has been an incurred loss event. For financial assets in stage 3, the Group will continue to recognise lifetime ECL but they will now recognise interest income on a net basis. As such, interest income will be calculated based on the gross carrying amount of the financial asset less ECL.

An asset is credit-impaired if one or more events have occurred that have a detrimental impact on the estimated future cash flows of the asset.

The changes in the loss allowance balance are recognised in profit or loss as an impairment gain or loss.

The Simplified approach

Under the simplified approach, the Group measures the loss allowance at an amount equal to lifetime expected credit losses for trade and other receivables.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3. **MATERIAL ACCOUNTING POLICIES (CONTINUED)**

3.10 Financial instruments (continued)

ii). Debt instruments (continued)

b). Impairment (continued)

Definition of default

The Group will consider a financial asset to be in default when:

• the counterparty or borrower is unlikely to pay their credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
• the counterparty or borrower is more than 90 days past due on any material credit obligation to the Group.

This will be consistent with the rebuttable criteria set out by IFRS 9 and existing practice of the Group; or in assessing whether the counterparty or borrower is in default, the Group considers indicators that are:

• Qualitative: e.g. Breach of covenant and other indicators of financial distress;
• Quantitative: e.g. Overdue status and non-payment of another obligation of the same issuer to the Company; and
• Based on data developed internally and obtained from external sources.
• Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances.

Significant increase in credit risk (SIICR)

When determining whether the credit risk (i.e. risk of default) on a financial instrument has increased significantly since initial recognition, the Group considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis based on the Group's historical experience, expert credit assessment and forward-looking information.

The Group primarily identifies whether a significant increase in credit risk has occurred for an exposure by comparing:

• The remaining lifetime probability of default (PD) as at the reporting date; with
• The remaining lifetime PD for this point in time that was estimated on initial recognition of the exposure.

The assessment of significant deterioration is key in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.

The Group monitors the effectiveness of the criteria used to identify significant increases in credit risk by regular reviews to confirm that:

• the criteria are capable of identifying significant increases in credit risk before an exposure is in default;
• the criteria do not align with the point in time when an asset becomes 30 days past due;
• the average time between the identification of a significant increase in credit risk and default appears reasonable;
• exposures are not generally transferred from 12-month ECL measurement to credit-impaired; and
• there is no unwarranted volatility in loss allowance from transfers between 12-month and lifetime ECL measurements.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3. **MATERIAL ACCOUNTING POLICIES (CONTINUED)**

3.10 Financial instruments (continued)

ii). Debt instruments (continued)

b). Impairment (continued)

Measurement of ECL

The key inputs into the measurement of ECL are the term structures of the following variables:

- Probability of Default (PD)
- Loss given default (LGD) and
- Exposure at default (EAD)

To determine lifetime and 12-month PDs, the Group uses externally developed PD tables based on the default history of obligors with the same credit rating. The Group adopts the same approach for unrated investments by mapping external credit ratings. Changes in the rating for a counterparty or exposure lead to a change in the estimate of the associated PD.

LGD is the magnitude of the likely loss if there is a default. The Group estimates LGD parameters based on the history of recovery rates of claims against defaulted counterparties. The LGD models consider the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset.

EAD represents the expected exposure in the event of a default. The Group derives the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract, including amortisation, and prepayments. The EAD of a financial asset is its gross carrying amount.

As described above, and subject to using a maximum of a 12-month PD for financial assets for which credit risk has not significantly increased, the Group measures ECL considering the risk of default over the maximum contractual period over which it is exposed to credit risk, even if, for risk management purposes, the Group considers a longer period. Where modelling of a parameter is carried out on a collective basis, the financial instruments are grouped on the basis of shared risk characteristics, which include: instrument type; credit risk grading; collateral type; date of initial recognition; remaining term to maturity.

The groupings are subject to regular review to ensure that exposures within a group remain appropriately homogeneous.

When ECLs are measured using parameters based on collective modelling, a significant input into the measurement of ECL is the external benchmark information that the Group uses to derive the default rates of its portfolios. This includes the PDs provided by rating agencies.

Expected credit losses are computed as a product of the Probability of Default (PD), Loss Given Default (LGD) and the Exposure at Default (EAD).

c). Modification of contracts

The Group rarely renegotiates or otherwise modifies the contractual cash flows of securities. When this happens, the Group assesses whether or not the new terms are substantially different to the original terms. The Group does this by considering, among others, the following factors:

- If the counterparty is in financial difficulty
- Whether any substantial new terms are introduced that affect the risk profile of the instrument
- Significant extension of the contract term when the borrower is not in financial difficulty
- Significant change in interest rate
- Change in the currency the security is denominated in

3. **MATERIAL ACCOUNTING POLICIES (CONTINUED)**

3.10 Financial instruments (continued)

ii). Debt instruments (continued)

c). Modification of contracts (continued)

• Inclusion of collateral, other security or credit enhancements that significantly affect the credit risk associated with the loan

If the terms are substantially different, the Group derecognises the original financial asset and recognises a 'new' asset at fair value and recalculates a new EIR for the asset. The date of renegotiation is consequently considered the date of initial recognition for impairment calculation purposes, including the purpose of determining whether a SICR has occurred.

If the terms are not substantially different and the renegotiation or modification does not result in derecognition, the Group recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in profit or loss. The new gross carrying amount is recalculated by discounting the modified cash flows at the original EIR.

d). Write off policy

The Group writes off financial assets, in whole or in part when it has exhausted all practical recovery effort and has concluded that there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include (i) ceasing enforcement activity; and (ii) the Group is foreclosing on collateral and the value of the collateral is such as there is no reasonable expectation of recovering in full.

The Group may write-off financial assets that are still subject to enforcement activity. The Group still seeks to recover amounts it is legally owed in full, but which have been partially written off due to no reasonable expectation of full recovery.

3.11 Cash and cash equivalents

For the purposes of the statement of cash flows, cash and cash equivalents include cash on hand and demand deposits and other short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from banks repayable within three months from the dates of the advances and interest earned but not received as at the reporting date.

3.12 Taxation

Income tax expense represents the sum of the current income tax and deferred income tax.

Current income tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from profit as reported in the statement of profit or loss and other comprehensive income because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Group's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

Management establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax

Deferred income tax is recognised on temporary differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3. **MATERIAL ACCOUNTING POLICIES (CONTINUED)**

3.12 Taxation (continued)

Deferred income tax (continued)

Deferred tax assets are generally recognised for all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences are utilised.

Such deferred tax assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit. The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities are generally recognised for all taxable temporary differences. Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realised, based on tax rates that have been enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Current and deferred income tax for the year

Current and deferred tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income.

3.13 Employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave as a result of services rendered by employees up to the date of reporting.

3.14 Segmental reporting

The Group determines and presents operating segments based on the information that is internally provided to the Executive Committee and the Board. An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group’s other components. Costs in the NSE are managed holistically across the Exchange and variances against budget are closely monitored.

3.15 Retirement benefit obligations

The Group operates a defined contribution provident scheme for all its employees. The scheme is administered by CPF Financial Services Limited and is funded by contributions from both the Group and employees. The Group also contributes to a statutory contribution pension scheme, the National Social Security Fund (NSSF). The Group’s obligations under the scheme are limited to specific contributions legislated from time to time. The Group’s contributions to these schemes are charged to the profit or loss in the year in which they relate.

3.16 Dividends payable

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

3. **MATERIAL ACCOUNTING POLICIES (CONTINUED)**

3.17 Earnings per share

The Group presents earnings per share (EPS) data for its ordinary shareholders in the financial statements. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the NSE by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders by the weighted average number of ordinary shares outstanding adjusted for the effects of all potentially dilutive shares.

3.18 Share capital and share premium

The share capital and premium of the Company includes balances relating to the Company's ordinary equity shares and own shares held by the Employee Share Ownership Plan (ESOP).

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects, from the proceeds.

3.19 Employee Shares Ownership Plan (ESOP)

The Nairobi Securities Exchange Plc ESOP - Unit Trust (the "ESOP") was established by Nairobi Securities Exchange Plc, the sponsor, on 25 June 2019 to enable participation of its employees in the ownership of the Company. The ESOP was set up as a Unit Trust with the principal objective or acquiring and holding shares of the Company for the benefit of its employees as governed by the Trust Deed. The ESOP commenced operations on 24 May 2023.

Allocation of shares to the ESOP is subject to the Company's bonus scheme policy where part of the eligible employees' bonuses are used to purchase the shares at a discount to the prevailing market price of the shares with a discount of 20%. The shares so purchased are settled in the ESOP and corresponding units are created and allocated to the eligible employees. The units have a three year vesting period. Upon vesting, the unitholders are entitled the full economic benefits relating to the vested units and can take the following actions with respect to the shares corresponding to the units that have vested:

- Sell the shares in the open market;
- Transfer the shares from the ESOP to their respective Central Depository System (CDSC) account; or
- Leave the shares within the ESOP and enjoy the economic benefits of those shares as any other shareholder.

When the Company issues new shares to the ESOP to satisfy vesting of specific employee share schemes, the share capital of the Company is increased by the par value of these own shares. These shares may be issued at a subscription price above par value, reflecting the premium payable by the participant in the ESOP. The subscription price is the quoted closing market price of the NSE share on the day of issuing the shares. In such instances, the share capital of the Company is increased by the par value of these own shares and the difference between the subscription price and the par value of the own share is recorded in share premium. The total value of the shares issued at subscription price is purchased by employees using bonus and is therefore included in expenses.

3.20 Comparatives

Where necessary, comparative figures have been adjusted to conform to changes in the presentation in the current year.

4. **ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINITY**

In the process of applying the Group's accounting policies, management makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The key areas of judgment and estimation in applying the entities accounting policies are dealt with below:

Valuation of land and building (as included in property and equipment and investmmet property)

The fair value model has been applied in accounting for land and building. The Group commissioned external, independent and professionally qualified real estate valuers that hold recognised relevant professional qualification and have recent experience in the location and type of property valued to determine the fair value of the property as at 31 December 2025 and 2024 on the basis of net income approach. The current use of the portion of the land and building accounted for as investment property equates to the highest and best use. The valuation of the land and building is based on the net income approach. The Group's land and building are valued by reference to a level 3 fair value measurement.

5. OPERATING SEGMENTS

The Group entities are all domiciled in Kenya. The Group has two main business segments based at Group level and company:

- Cash equities and interest rate market segment comprises the equities and bond trading business. This includes other income comprising broker back office income, rental income, data fees and other incomes; and

- Derivatives market segment comprises of the futures trading business.

Each business segment offers different products and services and is managed separately because each requires different technology and a different marketing strategy. The accounting policies of the reportable segments are the same as the Group's accounting policies described in note 3. Segment profit represents the profit earned by each segment without allocation of the share of profits of associate and income tax expense.

The information provided about each segment is based on the internal reports about segment profit or loss, assets and other information, which are regularly reviewed by the Executive Committee and the Board for the purpose of resource allocation and assessment of segment performance. The segment results were as follows:

Statement of financial position **2025**	**Cash equities and interest rate market** **Shs'000**	**Derivatives market** **Shs'000**	**Total** **Shs'000**
ASSETS			
Property and equipment, investment property and intangible assets	369,724	-	369,724
Government securities	338,232	-	338,232
Long-term restricted investments	-	83,228	83,228
Cash, cash equivalents and fixed deposits	997,609	114	997,723
Other assets	945,135	28,018	973,153
	2,650,700	111,360	2,762,060
2025			
LIABILITIES			
Settlement Guarantee Fund members contribution	-	11,750	11,750
Trade and other payables	218,316	(473)	217,843
Dividends payable	66,168	-	66,168
Tenant deposits	4,954	-	4,954
Trading members' contributions	-	2,200	2,200
	289,438	13,477	302,915

5. **OPERATING SEGMENTS (CONTINUED)**

Statement of financial position (continued) **2024**	**Cash equities and interest rate market** **Sh'000**	**Derivatives market** **Sh'000**	**Total** **Sh'000**
ASSETS			
Property and equipment, investment property and intangible assets	493,448	-	493,448
Government securities	334,909	-	334,909
Long-term restricted investments	-	144,902	144,902
Short-term restricted cash and investments	292,628	-	292,628
Cash, cash equivalents and fixed deposits	377,803	14	377,817
Other assets	496,731	10,377	507,108
	1,995,519	155,293	2,150,812
2024			
LIABILITIES			
Settlement Guarantee Fund members contribution	-	11,750	11,750
Trade and other payables	98,416	5,047	103,463
Dividends payable	61,961	-	61,961
Tenant deposits	3,283	-	3,283
Trading members' contributions	-	2,200	2,200
	163,660	18,997	182,657
2025			
Increase to non-current assets	271,858	(61,321)	210,537
Non-current assets	1,299,565	83,581	1,383,146
2024			
Reductions to non-current assets	3,511	1,519	5,030
Non-current assets	1,027,707	144,902	1,172,609

5. OPERATING SEGMENTS (CONTINUED)

Statement of profit or loss and other comprehensive income

2025	Cash equities and interest rate market Sh'000	Derivatives market Sh'000	Total Sh'000
Revenue (Note 6)	867,666	-	867,666
Interest income	116,007	11,871	127,878
Other income	93,509	100	93,609
Total income	1,077,182	11,971	1,089,153
Administrative expenses	(713,397)	(7,610)	(721,007)
Depreciation and amortisation	(38,441)	-	(38,441)
Share of gain of associate	34,379	-	34,379
Profit before income tax	359,723	4,361	364,084

2024	Cash equities and interest rate market Sh'000	Derivatives market Sh'000	Total Sh'000
Revenue (Note 6)	628,398	-	628,398
Interest income	123,454	23,506	146,960
Other income	52,953	90	53,043
Total income	804,805	23,596	828,401
Administrative expenses	(629,369)	(5,805)	(635,174)
Depreciation and amortisation	(39,107)	-	(39,107)
Share of gain of associate	8,703	-	8,703
Profit before income tax	145,032	17,791	162,823

All revenues are earned in Kenya. There are no revenues derived from transactions with a single external customer that amounted to 10% or more of the Group’s revenues.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Group		Company	
	2025	**2024**	**2025**	**2024**
6. **REVENUE**	**Shs '000'**	**Shs '000'**	**Shs '000'**	**Shs '000'**
Revenue recognized at a point in time				
Transaction levy - equity	348,141	253,650	348,141	253,650
Transaction levy - bond	298,113	169,881	298,113	169,881
Initial listing fees	4,250	3,235	4,250	2,000
Application and additional listing fees	975	1,500	975	500
Unquoted securities platform fees	3,040	1,037	-	-
	654,519	429,303	651,479	426,031
Revenue recognized over time				
Annual listing fees	65,928	64,773	65,428	64,273
Broker back-office subscription	28,901	33,023	28,901	33,023
Data income	118,318	101,299	-	101,299
	213,147	199,095	94,329	198,595
	867,666	628,398	745,808	624,626

7. **PROFIT BEFORE INCOME TAX**

The profit before income tax is arrived at after charging/(crediting):

	Group 2025	Group 2024	Company 2025	Company 2024
Employee benefits (note 8)	263,845	206,298	193,500	206,298
Depreciation of property and equipment (note 12)	15,843	16,685	15,596	16,438
Amortisation of intangible assets (note 14)	22,598	22,422	22,598	22,422
Directors' emoluments:				
Executive (note 33 (a))	42,929	34,289	33,891	34,289
Non–executive (note 33 (a))	13,216	15,973	12,930	15,659
Auditor's remuneration:				
Audit fees	4,002	6,270	2,646	4,913
Non-audit – tax fees	1,247	1,645	604	623
Loss/(gain) on disposal of equipment	6,982	(195)	6,982	(195)
Impairment of equipment and intangible assets	47,670	-	47,670	-
Employee staff ownership plan expenses	891	1,622	891	1,622
Increase in impairment of financial assets measured at amortised cost (note 36 (b) (iii))	23,597	8,748	20,626	3,504

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Group		Company	
	2025	2024	2025	2024
8. (a) STAFF COSTS	Shs '000'	Shs '000'	Shs '000'	Shs '000'
Salaries and wages	156,853	176,691	113,925	176,691
Bonus	74,682	3,158	54,829	3,158
Leave pay expense	-	132	-	132
Provident fund contribution	15,693	17,172	11,369	17,172
Other staff costs	16,617	9,145	13,377	9,145
	263,845	206,298	193,500	206,298

(b) OTHER EXPENSES

	Group 2025	Group 2024	Company 2025	Company 2024
Data marketing expenses	17,392	14,164	-	14,164
Insurance expenses	18,741	17,855	15,322	17,855
Communication and connectivity expenses	11,789	12,667	11,789	12,667
Professional and consultancy expenses	9,042	37,307	6,517	34,825
System licenses and cyber security costs	25,425	38,623	25,193	38,391
Business development and marketing costs	40,173	14,678	21,602	14,433
Exchange loss	703	13,361	703	12,190
Loss on sale of bonds held for trading	-	9,032	-	9,032
Other expenses	40,213	37,380	35,914	29,797
	163,478	195,067	117,040	183,354

The average staff numbers as at 31 December 2025 were 44 (2024:44).

9. INTEREST INCOME

	Group 2025	Group 2024	Company 2025	Company 2024
Interest on term deposits	108,630	102,324	92,254	78,085
Interest on treasury bonds	18,323	43,190	18,323	41,176
Interest on staff loans and advances	925	1,446	925	1,446
	127,878	146,960	111,502	120,707

10. OTHER INCOME

	Group 2025	Group 2024	Company 2025	Company 2024
Consultancy income	42,876	23,200	-	12,312
Rental income	18,795	10,519	18,795	10,519
Miscellaneous income	3,570	883	3,570	883
Private transfer fee	1,294	976	1,294	976
Nomad fees	325	325	325	325
Gain on disposal of equipment	-	195	-	195
Annual members fees	6,150	4,075	6,150	4,075
Ibuka fees	2,905	1,250	-	-
Surplus distributed by SGF	-	-	1,645	4,962
Management fees	-	-	1,355	4,237
IPF levy	47	33	-	-
Margin interest	53	57	-	-
Derivatives fees	117	83	117	83
Equity market marking	1,055	743	1,055	743
Event sponsorship	9,146	2,425	9,146	2,425
	86,333	44,764	43,452	41,735

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Group		Company	
	2025	2024	2025	2024
11. **TAXATION**	Shs '000'	Shs '000'	Shs '000'	Shs '000'
(a) **Taxation charge**				
Current income tax				
Current year expense	129,492	44,915	127,550	40,698
Prior year over provision	(819)	-	-	-
	128,673	44,915	127,550	40,698
Deferred income tax (note 21)				
Current year charge/(credit)	(36,681)	1,887	(36,634)	1,607
Potential deferred tax asset not recognized	(142)	(277)	-	-
Prior year deferred tax under provision	(64)	(2)	-	-
	(36,887)	1,608	(36,634)	1,607
	91,786	46,523	90,916	42,305
(b) **Reconciliation of taxation charge to the expected tax based on accounting profit**				
Profit before income tax	364,084	162,823	345,882	149,617
Tax calculated at a tax rate of 30% (2024: 30%)	109,225	48,847	103,765	44,885
Expenses not deductible for tax purposes	35,995	19,188	35,869	19,188
Net tax effects on income not subject to tax	(52,821)	(21,233)	(48,718)	(21,768)
Prior year current tax over provision	(819)	-	-	-
Potential deferred tax asset not recognized	142	(277)	-	-
Prior year deferred tax under provision	64	(2)	-	-
Income tax expense	91,786	46,523	90,916	42,305
(c) **Tax payable/(recoverable)**				
At start of year	(70,685)	(98,309)	(63,394)	(90,753)
Charge to profit or loss (note 11 (a))	128,673	44,915	127,550	40,698
Tax paid	(31,410)	(17,291)	(26,251)	(13,168)
Tax paid by NSE LLP and recovered against NSE	-	-	(309)	(171)
	26,578	(70,685)	37,596	(63,394)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

12. **PROPERTY AND EQUIPMENT – GROUP**

COST OR VALUATION	**Building Shs '000'**	**Motor vehicle Shs '000'**	**Furniture & fittings Shs '000'**	**Office equipment Shs '000'**	**Computer equipment Shs '000'**	**Total Shs '000'**
At 1 January 2024	101,519	12,772	87,183	42,723	79,334	323,531
Additions	-	12,000	1,564	12	23,325	36,901
Disposals	-	(12,772)	-	(1,489)	(14,952)	(29,213)
Revaluation loss	(38,354)	-	-	-	-	(38,354)
At 1 January 2025	63,165	12,000	88,747	41,246	87,707	292,865
Disposals	-	-	(28,932)	(3,732)	(8,511)	(41,175)
Revaluation loss	(5,353)	-	-	-	-	(5,353)
At 31 December 2025	57,812	12,000	59,815	37,514	79,196	246,337
Comprising:						
At valuation	57,812	-	-	-	-	57,812
At cost	-	12,000	59,815	37,514	79,196	188,525
Cost of valuation	57,812	12,000	59,815	37,514	79,196	246,337
Depreciation						
At 1 January 2024	-	12,772	82,792	39,818	71,973	207,355
Charge for the year	2,222	2,250	2,587	1,282	8,344	16,685
Eliminated on disposal	-	(12,772)	-	(1,276)	(14,678)	(28,726)
Reversal of revaluation	(2,222)	-	-	-	-	(2,222)
At 1 January 2025	-	2,250	85,379	39,824	65,639	193,092
Charge for the year	1,383	3,000	1,841	800	8,819	15,843
Eliminated on disposal	-	-	(28,828)	(3,732)	(8,378)	(40,938)
Impairment	-	-	-	-	5,991	5,991
Reversal on revaluation	(1,383)	-	-	-	-	(1,383)
At 31 December 2025	-	5,250	58,392	36,892	72,071	172,605
Net carrying amount						
As at 31 December 2025	57,812	6,750	1,423	622	7,125	73,732
As at 31 December 2024	63,165	9,750	3,368	1,422	22,068	99,773

12. **PROPERTY AND EQUIPMENT (Continued) – COMPANY**

COST OR VALUATION	Building Shs '000'	Motor vehicle Shs '000'	Furniture & fittings Shs '000'	Office equipment Shs '000'	Computer equipment Shs '000'	Total Shs '000'
At 1 January 2024	101,519	12,772	87,183	41,730	79,334	322,538
Additions	-	12,000	1,564	12	23,325	36,901
Disposals	-	(12,772)	-	(1,489)	(14,952)	(29,213)
Revaluation loss	(38,354)	-	-	-	-	(38,354)
At 1 January 2025	63,165	12,000	88,747	40,253	87,707	291,872
Disposals	-	-	(28,932)	(3,732)	(8,511)	(41,175)
Revaluation loss	(5,353)	-	-	-	-	(5,353)
At 31 December 2025	57,812	12,000	59,815	36,521	79,196	245,344
Comprising:						
At valuation	57,812	-	-	-	-	57,812
At cost	-	12,000	59,815	36,521	79,196	187,532
Cost of valuation	57,812	12,000	59,815	36,521	79,196	245,344
Depreciation						
At 1 January 2024	-	12,772	82,792	39,608	71,973	207,145
Charge for the year	2,222	2,250	2,587	1,035	8,344	16,438
Eliminated on disposal	-	(12,772)	-	(1,276)	(14,678)	(28,726)
Reversal of revaluation	(2,222)	-	-	-	-	(2,222)
At 1 January 2025	-	2,250	85,379	39,367	65,639	192,635
Charge for the year	1,383	3,000	1,841	553	8,819	15,596
Eliminated on disposal	-	-	(28,828)	(3,732)	(8,378)	(40,938)
Impairment	-	-	-	-	5,991	5,991
Reversal on revaluation	(1,383)	-	-	-	-	(1,383)
At 31 December 2025	-	5,250	58,392	36,188	72,071	171,901
Net carrying amount						
As at 31 December 2025	57,812	6,750	1,423	333	7,125	73,443
As at 31 December 2024	63,165	9,750	3,368	886	22,068	99,237

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

12. **PROPERTY AND EQUIPMENT (Continued) – GROUP AND COMPANY**

Property, plant and equipment with a cost of Sh 142.2 million (2024: Sh 160.3 million) at the reporting date were fully depreciated

The building has been stated at its revalued amount, being the fair value at 31 December 2025 less any subsequent depreciation. The revaluation was done on the basis of net income approach reflecting the highest and best use by Sec & M Co. Limited, an independent registered valuer.

13. **INVESTMENT PROPERTY - GROUP AND COMPANY**

	2025 Shs'000'	2024 Shs'000'
VALUATION		
At 1 January	303,835	288,481
Revaluation gain	353	15,354
At 31 December	304,188	303,835

The fair value of the Group's investment property at 31 December 2025 and 31 December 2024 has been arrived at on the basis of a valuation carried out at 31 December 2025 and 31 December 2024 by Sec & M Co. Limited, an independent registered valuer. The fair value was adjusted for in the books of the Group and Company. The fair value was determined based on the net income approach. In estimating the fair value of the properties, the highest and best use of the properties is their current use. The group applies capitalisation rate and rental income as the unobservable inputs in the valuation of its properties. There were no transfers between any levels in the fair valuation hierarchy during the year.

The following table gives information about how the fair values of these non-financial assets are determined (in particular, the valuation technique(s) and inputs used).

	Shs'000	Fair value hierarchy	Valuation technique(s) and key inputs	Significant unobservable inputs	Relationship of unobservable inputs to fair value
At 31 December 2025					
Buildings (Note 12)	57,812	Level 3	Income capitalization method - Highest and best use	Capitalisation rate, taking into account the capitalisation of rental income potential, nature of the property, and prevailing market condition, of 8%	A slight increase in the capitalisation rate used would result in a significant decrease in fair value, and vice versa
Investment property	304,188	Level 3			
Total	362,000				
At 31 December 2024					
Buildings (Note 12)	63,165	Level 3	Income capitalization method - Highest and best use	Capitalisation rate, taking into account the capitalisation of rental income potential, nature of the property, and prevailing market condition, of 8%	A slight increase in the capitalisation rate used would result in a significant decrease in fair value, and vice versa
Investment property	303,835	Level 3			
Total	367,000				

The building and investment property relate to one property with land title L.R No 209/18851 located in the Westlands area.

14. INTANGIBLE ASSETS - GROUP AND COMPANY

	Automated trading system software	Other software	Broker back office software	Bond software license	Derivatives software	WIP	Total
COST	**Shs '000'**	**Shs '000'**	**Shs '000'**	**Shs '000'**	**Shs '000'**	**Shs '000'**	**Shs '000'**
At 1 January 2024	80,290	57,153	77,951	38,191	54,338	3,834	311,757
Additions	-	3,783	-	-	-	431	4,214
Transfer from WIP	-	-	-	-	-	-	-
At 1 January 2025	80,290	60,936	77,951	38,191	54,338	4,265	315,971
Additions	-	160	-	-	-	359	519
Disposals	-	(4,128)	(77,951)	-	-	(4,624)	(86,703)
At 31 December 2025	80,290	56,968	-	38,191	54,338	-	229,787
Amortization							
At 1 January 2024	33,389	35,612	72,215	38,191	24,302	-	203,709
Amortization for the year	8,029	7,278	1,681	-	5,434	-	22,422
At 1 January 2025	41,418	42,890	73,896	38,191	29,736	-	226,131
Amortization for the year	8,029	7,734	1,401	-	5,434	-	22,598
Eliminated on disposals	-	(4,128)	(75,297)	-	-	-	(79,425)
Impairment*	25,490	2,454	-	-	13,735	-	41,679
At 31 December 2025	74,937	48,950	-	38,191	48,905	-	210,983
Net carrying amount							
As at 31 December 2025	5,353	8,018	-	-	5,433	-	18,804
As at 31 December 2024	38,872	18,046	4,055	-	24,602	4,265	89,840

Intangible assets with a cost of Shs. 66.8 million (2024: Shs. 128.6 million) at the reporting date were fully amortised

The Company discontinued the Broker Back Office system in 2025 and the remaining net book value written off.

* The Company will be replacing the current automated trading system software, derivatives software and other related software with new market infrastucture in 2026. These systems have no resale value and will have no further economic use. An impairment provision on the remaining net book value has therefore been booked in these 2025 financial statements. The related computer equipment has also been impaired (Note 12).

14. **INTANGIBLE ASSETS - COMPANY**

	Automated trading system software	Other software	Broker back office software	Bond software license	Derivatives software	WIP	Total
COST	**Shs '000'**	**Shs '000'**	**Shs '000'**	**Shs '000'**	**Shs '000'**	**Shs '000'**	**Shs '000'**
At 1 January 2024	80,290	57,153	77,951	38,191	54,338	3,834	311,757
Additions	-	3,783	-	-	-	431	4,214
At 1 January 2025	80,290	60,936	77,951	38,191	54,338	4,265	315,971
Additions	-	-	-	-	-	359	359
Disposals	-	(4,128)	(77,951)	-	-	(4,624)	(86,703)
At 31 December 2025	80,290	56,808	-	38,191	54,338	-	229,627
Amortization							
At 1 January 2024	33,389	35,612	72,215	38,191	24,302	-	203,709
Amortization for the year	8,029	7,278	1,681	-	5,434	-	22,422
At 1 January 2025	41,418	42,890	73,896	38,191	29,736	-	226,131
Amortization for the year	8,029	7,734	1,401	-	5,434	-	22,598
Eliminated on disposals	-	(4,128)	(75,297)	-	-	-	(79,425)
Impairment	25,490	2,454	-	-	13,735	-	41,679
At 31 December 2025	74,937	48,950	-	38,191	48,905	-	210,983
Net carrying amount							
As at 31 December 2025	5,353	7,858	-	-	5,433	-	18,644
As at 31 December 2024	38,872	18,046	4,055	-	24,602	4,265	89,840

15. INVESTMENT IN ASSOCIATE

The investment in associate represents an investment in Central Depository and Settlement Corporation Limited (CDSC). The Group held an ownership percentage of 40.5% at 31 December 2025 (2024: 40.5%). The proportion of the voting rights in the associate held by the Company does not differ from the proportion of ordinary shares held.

(a) Details of the associate at the end of the reporting period are as follows:

	Country of incorporation and operation	Number of shares held by NSE @ Shs. 100 per share		Proportion of ownership interest and voting power held by NSE	
	Group	**2025**	**2024**	**2025**	**2024**
CSDC	Kenya	708,750	708,750	40.5%	40.5%
	Company				
CSDC	Kenya	708,750	393,750	22.5%	22.5%

The principal activity of the associate is provision of automated clearing, delivery and settlement facilities in respect of transactions carried out at the Nairobi Securities Exchange PLC.

The Group's shareholding in AKS Nominees Ltd is 94.3% (2024: 94.3%) as disclosed in note 16.
AKS Nominees holds an 18% shareholding in the ordinary shares of the CDSC in 2025 (2024: 18%).

(b) The movement in the balance is as follows:

	Group		Company	
	2025 Shs '000'	**2024 Shs '000'**	**2025 Shs '000'**	**2024 Shs '000'**
At start of year	176,036	166,151	78,940	73,448
Share of profit for the year (note 15 (e))	34,379	8,703	19,099	4,835
Share of other comprehensive profit for the year (note 15(e))	1,638	1,182	910	657
At end of year	212,053	176,036	98,949	78,940

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

15. **INVESTMENT IN ASSOCIATE (CONTINUED)**

	Group		Company	
(c) Summarised financial information in respect of the associate is set out below:	**2025 Shs '000'**	**2024 Shs '000'**	**2025 Shs '000'**	**2024 Shs '000'**
Non current assets	227,498	285,429	227,498	285,429
Current assets	288,096	152,108	288,096	152,108
Total assets	515,594	437,537	515,594	437,537
Non current labilities	(5,647)	(28,176)	(5,647)	(28,176)
Current labilities	(70,173)	(58,518)	(70,173)	(58,518)
	(75,820)	(86,694)	(75,820)	(86,694)
Net assets	439,774	350,843	439,774	350,843
Group's share of net assets of associate (note 15 (d))	178,109	142,092	98,949	142,092
Total revenue for the year	331,150	236,859	331,150	236,859
Other comprehensive profit for the year	4,043	2,906	4,043	2,906
Total comprehensive profit for the year	90,364	20,368	90,364	20,368

(d) Reconciliation of share of net assets of associate to investment in associate

Share of net assets (note 15(c))	178,109	142,092	98,949	78,940
Goodwill on acquisition of AKS Nominees	33,944	33,944	-	-
Balance on statement of financial position	212,053	176,036	98,949	78,940

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

15. **INVESTMENT IN ASSOCIATE (CONTINUED)**

	Group 2025 Shs '000'	Group 2024 Shs '000'	Company 2025 Shs '000'	Company 2024 Shs '000'
(e) Share of profit of associate:				
Company				
Being the direct shareholding at 22.5% (2024 – 22.5%)				
Share of profit of associate	19,099	4,835	19,099	4,835
Share of other comprehensive profit	910	657	910	657
	20,009	5,492	20,009	5,492
Group				
Being the direct shareholding at 22.5% (2024 - 22.5%) (as computed for Company above) and the indirect shareholding at 18% from the acquisition date (2024 – 18%)				
Indirect shareholding at 18% (2024 – 18%)				
Share of profit of associate	15,280	3,868	-	-
Share of other comprehensive profit	728	525	-	-
	16,008	4,393	-	-
Total group share of profit and OCI at 40.5% (2024 – 40.5%)				
Share of profit of associate	34,379	8,703	19,099	4,835
Share of other comprehensive profit	1,638	1,182	910	657
	36,017	9,885	20,009	5,492

16. INVESTMENT IN SUBSIDIARIES AND STRUCTURED ENTITIES - COMPANY

	Principal activity	Holding 2025	Holding 2024	2025 Shs '000'	2024 Shs '000'
Investment in subsidiaries					
Investment in NSE Clear Limited (note a)	Clearing house	100%	100%	20,000	20,000
Investment in AKS Nominees Ltd (note b)	Investment	94%	94%	118,899	118,899
				138,899	138,899
Investment in structured entities (note c):					
NSE Derivatives Settlement Guarantee Fund	Settlement guarantee fund			34,000	100,000
NSE Derivatives Investor Protection Fund	Investor protection fund			10,000	10,000
				44,000	110,000
				182,899	248,899

a) Investment in subsidiary – NSE Clear Limited

NSE Clear Limited was incorporated as a limited liability company on 4 February 2014 under the Kenyan Companies Act with a share capital of Kenya Shillings One Hundred Thousand (Sh 100,000) divided into One Hundred (100) ordinary shares of Kenya Shillings One Thousand (Sh 1,000) each. It is a wholly owned subsidiary of the Nairobi Securities Exchange PLC. The subsidiary is domiciled in Kenya.

The principal objectives of the subsidiary are to carry on the business of a clearing house and as such, to provide clearing and settlement services for transactions in derivative securities whether carried out on or off a securities exchange, to act as a central counterparty in derivative securities transactions and to carry out all activities that pertain to a clearing house.

b) Investment in subsidiary – AKS Nominees Ltd

The Group shareholding in AKS Nominees Ltd (AKS) is 94.3% (2024: 94.3%) for a total consideration paid to date of Shs. 119 million (2024 – Shs. 119 million). AKS holds an 18% shareholding in the ordinary shares of the CDSC in 2025 (2024 – 18%).

The principal activity of the subsidiary is holding equity shares in CDSC in trust for its members who are authorised to operate as stockbrokers and investment banks in the Nairobi Securities Exchange (NSE).

c) Investment in structured entities

The NSE Derivatives Settlement Guarantee Fund (SGF) was established on 17 July 2015 as an irrevocable trust under the Trustee Act (Cap. 167) pursuant to the Capital Markets (Derivatives Markets) Regulations, 2015 and the Nairobi Securities Exchange (NSE) Derivatives Rules. The main purpose of the Settlement Guarantee Fund is to settle specified claims by derivatives members arising out of transactions in derivative securities. The NSE Derivatives Investor Protection Fund (IPF) was established on 17 July 2015 as an irrevocable trust under the Trustee Act (Cap167) pursuant to the Capital Markets (Derivatives Markets) Regulations, 2015, the NSE Investor Protection Fund Rules and the Nairobi Securities Exchange PLC (NSE) Compensation Rules and Procedures. The main purpose for the Investor Protection Fund is to satisfy specified claims by the investing public arising out non-settlement of obligations owed to them by trading members or losses incurred by reason of the default of trading members.

16. INVESTMENT IN SUBSIDIARIES AND STRUCTURED ENTITIES - COMPANY (continued)

d) Non-controlling interest (NCI)

The total NCI at 31 December 2025 is Shs 6,945,000 (2024: Shs 6,888,000) all of which relates to AKS Nominees Limited at 6% shareholding (2024: 6%).

The following table summarises the financial information relating to the Group's company that has significant non-controlling interest.

	2025 Shs '000'	2024 Shs '000'
Total assets	84,733	142,060
Total liabilities	(1,320)	(1,490)
Net assets	83,413	140,570
Revenue	267	1,147
Profit before tax	206	746
Taxation	819	(257)
Total comprehensive income	1,025	489

Reconciliation of NCI

Movement in the non-controlling interest is as follows:

	2025	2024
At start of the year	6,888	6,860
NCI's share of profit	57	28
At end of the year	6,945	6,888

17. INVESTMENT IN NSE LLP

The NSE Limited Liability Partnership (NSE LLP) was established under the Kenyan Limited Liability Partnerships Act, 2011 on 22 September 2020. The principal activity is to run the Unquoted Securities Platform. The Partnership has a management committee that oversees its day-to-day activities. The management committee of the Partnership reports to the Board of Directors of Nairobi Securities Exchange Plc. As per the Partnership Deed, Nairobi Securities Exchange Plc shall contribute 100% of the capital of the NSE Limited Liability Partnership.

The following table summarises the financial information relating to the NSE LLP:

	2025 Shs '000'	2024 Shs '000'
Total assets	137,549	16,051
Total liabilities	(82,166)	(5,120)
Net assets	55,383	10,931
Revenue	171,877	17,568
Profit for the year	44,761	3,660

Partners' account

Movement in the partners' account is as follows:

	2025 Shs '000'	2024 Shs '000'
At start of the year	10,931	7,442
Profit for the year	44,761	3,660
Withdrawals*	(309)	(171)
	55,383	10,931

* Withdrawals relate to the tax paid on instalment taxes by NSE LLP or withholding tax deducted directly at source on interest income earned by NSE LLP. Since tax on the NSE LLP profit is charged to and paid by the Partners, then this amount is deducted against the Partners' accounts.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

18. FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME - QUOTED EQUITY INSTRUMENTS – GROUP AND COMPANY

	2025 Shs '000'	2024 Shs '000'
At start of year	147,771	133,121
Fair value gain through other comprehensive income	298,904	14,650
At end of year	446,675	147,771

Quoted ordinary shares at fair value through other comprehensive income are classified as non-current assets. At the year end, these are valued at the closing market share price at the Dar-Es-Salaam stock exchange on the last day of trading of the year.

19. LONG-TERM RESTRICTED INVESTMENTS – GROUP

Fixed deposit and interest capitalized held with the Co-operative Bank of Kenya Limited and maturing within 180 days in the name of:

	2025 Shs '000'	2024 Shs '000'
NSE Clear Limited	21,812	20,167
NSE Derivatives Settlement Guarantee Fund	51,039	113,759
NSE Derivatives Investor Protection Fund	11,842	10,978
	84,693	144,904
Less: Expected Credit Losses (note 36 (b)(ii))	(1,365)	(2)
	83,328	144,902

The restricted investments relate to the seed capital contributions by the NSE on 19 August 2015 to the NSE Clear Limited, the NSE Derivatives Settlement Guarantee Fund (SGF) and the NSE Derivatives Investor Protection Fund (IPF) of Shs. 20 million, Shs. 34 million and Shs. 10 million respectively towards their operations. The funds are invested in a fixed deposit on a rolling basis.

20. GOVERNMENT SECURITIES – GROUP AND COMPANY

	2025 Shs '000'	2024 Shs '000'
(a) At amortised cost – maturing over one year		
Treasury bonds held at amortised cost	201,506	201,506
Less: Expected Credit Losses (note 36 (b)(ii))	(5,904)	(3,164)
Unamortised balance	3,238	3,471
	198,840	201,813

The weighted average effective interest rate on the treasury bonds at amortised cost for the year ended 31 December 2025 was 13.8% (2024: 13.8%).

20. GOVERNMENT SECURITIES – GROUP AND COMPANY (continued)

(b) At fair value through profit or loss – maturing over one year

	2025 Shs '000'	2024 Shs '000'
Treasury bonds held for trading	129,074	127,753
Fair value provisions	4,318	5,343
	133,392	133,096

The weighted average effective interest rate on the treasury bonds at fair value through profit or loss for the year ended 31 December 2025 was 15.7% (2024: 15.1%).

21. DEFERRED TAX

Deferred income tax is calculated on all temporary differences under the liability method using a principal tax rate of 30% (2024: 30%) The net deferred tax asset is attributable to the following items:

	Group		Company	
	2025 Shs '000'	2024 Shs '000'	2025 Shs '000'	2024 Shs '000'
Property, equipment and investment property	14,954	3,494	14,954	3,494
Straight-lined rental income	(802)	(405)	(802)	(405)
Tax losses	5,564	5,578	-	-
Provision for expected credit losses	12,631	5,550	12,221	5,550
Potential deferred tax asset not recognized	(5,721)	(5,578)	-	-
Other provisions	18,900	-	18,900	-
	45,526	8,639	45,273	8,639
The movement in the deferred income tax asset is as follows:				
At start of year	8,639	10,247	8,639	10,246
Credit/(charge) to profit or loss (note 11 (a))	37,093	(1,887)	36,634	(1,607)
Potential deferred tax asset not recognized (note 11 (a))	(142)	277	-	-
Prior year deferred tax under provision (note 11 (a))	(64)	2	-	-
	45,526	8,639	45,273	8,639

The deferred tax asset has been recognised in the year as it is probable that taxable profit will be available against which the deductible temporary differences can be utilised. There are no tax laws which restrict the sources of taxable profits against which the Group may make deductions on the reversal of that deductible temporary difference.

The potential deferred tax asset not recognized relates to the tax losses incurred by the subsidiaries and Funds as it is not probable that taxable profit will be available in the short term against which the unused tax losses or unused tax credits can be utilized.

22. TRADE AND OTHER RECEIVABLES

a) Trade and other receivables

	Group 2025 Shs '000'	Group 2024 Shs '000'	Company 2025 Shs '000'	Company 2024 Shs '000'
Trade receivables	139,518	64,021	114,445	58,714
Prepayments and deposits	7,524	12,713	7,524	12,713
Staff loans and advances	25,529	23,035	25,529	23,035
Due from African Securities Exchange Association	1,036	911	1,036	911
Other receivables*	15,256	7,656	15,218	6,627
Due from trading member on the market making fund	76,243	6,720	76,243	6,720
Clearing balances	7,127	2,746	-	-
	272,233	117,802	239,995	108,720
Less: Expected Credit Losses (note (b))	(30,434)	(13,825)	(24,114)	(8,577)
	241,799	103,977	215,881	100,143

b) Expected Credit Losses

Movements in Expected Credit Losses were as follows:

	Group 2025 Shs '000'	Group 2024 Shs '000'	Company 2025 Shs '000'	Company 2024 Shs '000'
At start of the year	13,825	6,080	8,577	6,080
Charge in the year	16,609	7,745	15,537	2,497
At end of the year	30,434	13,825	24,114	8,577

* Other receivable includes rent receivable of Sh 6.8 million and balances due from advisory services.

	Group		Company	
	2025	**2024**	**2025**	**2024**
23. CASH AND CASH EQUIVALENTS AND SHORT-TERM RESTRICTED CASH & INVESTMENTS	**Shs '000'**	**Shs '000'**	**Shs '000'**	**Shs '000'**
Call deposits	102,189	87,030	68,706	87,030
Fixed deposits	884,901	572,800	808,022	554,277
Total short-term deposits (note 24)	987,090	659,830	876,728	641,307
Bank and cash balances	15,032	12,129	10,779	12,115
Total bank and cash balances and deposits	1,002,122	671,959	887,507	653,422
Less: Expected Credit Losses (note 36 (b)(ii))				
Call and fixed deposits (note 24)	(4,303)	(1,418)	(3,772)	(1,418)
Bank balances	(96)	(96)	(91)	(96)
	(4,399)	(1,514)	(3,863)	(1,514)
	997,723	670,445	883,644	651,908
Split into:				
Short-term restricted investments (note 39)	-	292,628	-	292,628
Cash and cash equivalents	124,357	120,687	83,002	102,150
Fixed deposits – maturity of three months to six months (Note 24)	873,366	257,130	800,642	257,130
	997,723	670,445	883,644	651,908

For purposes of statement of cashflows, cash and cash equivalents is made up as follows:

Total cash and bank balances and short term restricted cash and investments	997,723	670,445	883,644	651,908
Less: fixed deposit – maturity over three months (note 24)	(873,366)	(549,757)	(800,642)	(549,757)
Less interest earned not received	(7,609)	(5,167)	(7,201)	(4,490)
	116,748	115,521	75,801	97,661

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

	Group		Company	
	2025	2024	2025	2024
24. **SHORT TERM DEPOSITS**	Shs '000'	Shs '000'	Shs '000'	Shs '000'
Maturing within three months:				
Fixed deposits	7,691	21,635	4,040	3,112
Call deposits	102,189	87,030	68,706	87,030
	109,880	108,665	72,746	90,142
Less: Expected Credit Losses	(459)	(10)	(432)	(10)
	109,421	108,655	72,314	90,132
Maturing after three months to six months:				
Fixed deposits	877,210	551,165	803,982	551,165
Less: Expected Credit Losses	(3,844)	(1,408)	(3,340)	(1,408)
	873,366	549,757	800,642	549,757
Gross total - call and fixed deposits (note 23)	987,090	659,830	876,728	641,307
Total Expected Credit Losses (note 23)	(4,303)	(1,418)	(3,772)	(1,418)
Net total - call and fixed deposits	982,787	658,412	872,956	639,889

The deposits are classified and measured at amortised cost. The weighted average effective interest rate on the deposits as at 31 December 2025 was 9.4% (2024: 12.8%).

25. **SHARE CAPITAL**

	Group 2025	Group 2024	Company 2025	Company 2024
Authorised share capital:				
At start and end of the year: 375,000,000 ordinary shares of Shs 4.00 each	1,500,000	1,500,000	1,500,000	1,500,000
Issued and fully paid up:				
At start of the year: 260,634,541 ordinary shares (2024 – 260,452,401 ordinary shares) of Shs 4.00 each	1,042,538	1,041,810	1,042,538	1,041,810
Issue of 263,194 shares to the employees share ownership plan (2024 – 182,140 shares) of Shs 4.00 each (note 27)	1,053	728	1,053	728
At end of the year 260,897,735 ordinary shares (2024 - 260,634,541 ordinary shares) of Shs 4.00 each	1,043,591	1,042,538	1,043,591	1,042,538

	Group		Company	
	2025	2024	2025	2024
26. **SHARE PREMIUM**	Shs '000'	Shs '000'	Shs '000'	Shs '000'
At start of the year:	279,725	279,489	279,725	279,489
Issue of shares at a premium to the employees share ownership plan (note 27):	500	236	500	236
At end of year	280,225	279,725	280,225	279,725

27. **EMPLOYEE SHARE OWNERSHIP PLAN (ESOP)**

During the year the activities in the ESOP were as follows:

Number of units

	Group 2025	Group 2024	Company 2025	Company 2024
Units in the ESOP – at start of year	1,072,895	890,755	1,072,895	890,755
Units granted during the year (Note 25)	263,194	182,140	263,194	182,140
Units sold/transferred during the year	(180,098)	-	(180,098)	-
	1,155,991	1,072,895	1,155,991	1,072,895
Total units vested in the year	235,569	283,207	235,569	283,207
Market price of units at date of grant - Shs	7.38	6.62	7.38	6.62
Purchase price – Shs	5.90	5.30	5.90	5.30
Issue of units to ESOP at par – Shs'000 (note 25)	1,053	728	1,053	728
Isssue of units to ESOP at premium – Shs'000 (note 26)	500	236	500	236
	1,553	964	1,553	964

On 27th August 2025, the Board approved the allotment and issue of 263,194 ordinary shares (2024 – 182,140) at a market price of Shs. 5.90 (2024 - Shs. 5.30) to the Employee Share Ownership Plan (ESOP). A share premium of Shs. 500,000 (2024 - Shs. 236,000) has been recognised in share premium in the year in respect of these shares.

	Group		Company	
	2025	2024	2025	2024
28. **SETTLEMENT GUARANTEE FUND - MEMBER'S CONTRIBUTIONS**	Shs '000'	Shs '000'	Shs '000'	Shs '000'
Co-operative Bank of Kenya Limited	11,750	11,750	-	-

The contribution was received in cash in 2019. This is a refundable contribution made by clearing members to the Settlement Guarantee Fund to cover any claims arising from non-settlement of margins. Each clearing member's contribution is currently at Shs. 23.5 million. The balance of Co-operative Bank of Kenya Limited contribution of Shs. 11.75 million was provided through a bank guarantee of the same amount issued by KCB Bank Kenya Limited on 29th October 2025.

29. **TRADE AND OTHER PAYABLES**

	Group		Company	
	2025	2024	2025	2024
a) Non-current portion	Shs '000'	Shs '000'	Shs '000'	Shs '000'
Tenant deposits	4,954	3,283	4,954	3,283
b) Current portion				
Accrued expenses	100,437	44,205	62,841	34,404
Trade payables	23,589	13,361	23,589	13,361
Other payables	8,600	26,694	8,600	26,694
Amount payable to Capital Markets Authority	1,336	4,823	1,336	4,823
Data fees paid in advance	16,704	11,118	-	11,118
Clearing balances	7,011	2,662	-	-
Contributions due to former trading members	600	600	-	-
	158,277	103,463	96,366	90,400

30. **DIVIDENDS PAYABLE**

The dividends payable represent the first and final dividend for the year ended 31 December 2011 up to 31 December 2024 not paid at year end for former brokers now under statutory management. The movement in dividends payable during the year was as follow:

	Group		Company	
	2025	2024	2025	2024
	Shs '000'	Shs '000'	Shs '000'	Shs '000'
At start of year	61,961	60,221	61,898	59,237
Declared during the year	83,403	41,672	83,403	41,672
Paid during the year	(79,196)	(39,932)	(79,147)	(39,011)
At end of year	66,168	61,961	66,154	61,898

31. **GRANT BALANCES**

Financial Sector Deepening (Kenya)	15,748	-	-	-
Financial Sector Deepening (Africa)	5,687	-	-	-
Hedera Foundation	7,107	-	-	-
Africa Guarantee Fund (AGF)	4,446	-	-	-
	32,988	-	-	-

The grant given by:

i) FSD (Kenya) of Kshs. 30m was for the purpose of establishing a centre of excellence for sustainable finance.
ii) FSD (Africa) of £ 40,000 was for the purpose of establishing a Climate Governance Initiative Kenya Chapter.
iii) Hedera Foundation of US$ 55,000 was for the purpose of establishing an NSE innovation lab.
iv) AGF of US$ 101,250 was for the purpose of capacity development for women-led SMEs.

	Group		Company	
	2025	2024	2025	2024
32. **CASH FLOWS FROM OPERATING ACTIVITIES**	Shs '000'	Shs '000'	Shs '000'	Shs '000'
Profit before income tax	364,084	162,823	345,882	149,617
Adjustments for:				
Depreciation of property, plant and equipment (note 12)	15,843	16,685	15,596	16,438
Amortisation of intangible assets (note 14)	22,598	22,422	22,598	22,422
Share of profit of associate (note 15 (b))	(34,379)	(8,703)	(19,099)	(4,835)
Interest income (note 9)	(127,877)	(146,960)	(111,502)	(120,707)
Loss/(gain) on disposal of equipment	6,982	(195)	6,982	(195)
Loss on sale of bonds	-	9,053	-	9,053
Change in net assets of NSE LLP (note 17)	-	-	(44,761)	(3,660)
Issue of ESOP shares (note 27)	1,553	964	1,553	964
Effect of foreign exchange rate changes	387	5,755	387	5,755
Revaluation loss on property (note 12 and 13)	3,617	20,778	3,617	20,778
Movement in ECL and other provisions	6,769	(5,183)	4,905	(5,180)
Unrealised gain on bond valuation	(4,337)	(7,734)	(4,337)	(7,734)
Impairment of equipment and intangible assets (note 12 and 14	47,670	-	47,670	-
	(61,174)	(93,118)	(76,391)	(66,901)
Working capital changes:				
Increase/(decrease) in trade and other receivables	(133,473)	9,795	(115,738)	12,869
Increase in trade and other payables	50,465	28,516	5,966	24,783
Increase in tenant deposits	1,671	1,068	1,671	1,068
Movement in related party balances	-	-	2,346	3,309
Increase in due to Financial Sector Deepening Trust (Kenya)	15,748	-	-	-
Increase in due to Financial Sector Deepening Trust (Africa)	5,687	-	-	-
Increase in due to Hedera Foundation	7,107	-	-	-
Increase in due to Africa Guarantee Fund	4,446	-	-	-
	(48,349)	39,379	(105,755)	42,029
Cash generated from operations	254,561	109,084	163,736	124,745

33. EARNINGS PER SHARE - BASIC AND DILUTED

Basic earnings per share has been calculated by dividing the net profit per year to owners of the Group by the weighted average number of ordinary shares in issue during the year.

Net profit attributable to owners of the Group (Shs '000')	272,241	116,272	254,966	107,312
Number of shares at 31 December (in thousands)	260,897	260,635	260,897	260,635
Basic and diluted earnings per share (Shs)	1.04	0.45	0.98	0.41

34. **RELATED PARTY TRANSACTIONS (CONTINUED)**

The following transactions were carried out by the Group and Company with related parties at market rates.

	Group		Company	
	2025	2024	2025	2024
a) Directors' emoluments	**Shs '000'**	**Shs '000'**	**Shs '000'**	**Shs '000'**
Non – executive				
Directors fees and sitting allowances (including committees)	13,216	15,973	12,930	15,659
Executive	42,929	34,289	33,891	34,289
Total directors' remuneration	56,145	50,262	46,821	49,948

b) Key management compensation	**Group & Company**	
	Shs '000'	**Shs '000'**
Salaries and other short-term employment benefits	76,996	62,502
Other long term benefits	7,541	6,104
	84,537	68,606

c) Transactions with shareholders

The Group and Company are related to various parties by virtue of common shareholding. The shareholders exercise significant influence over the operations of the exchange. As at 31 December 2025, the Group had 8 stockbrokers (2024:8) and 8 licensed investment banks (2024:8) who are shareholders. The transactions carried out during the year with the brokers and investment banks who are related parties by virtue of shareholding are disclosed below:

The Group charges investors, through the brokers, a transaction levy of 0.12% (31 December 2024: 0.12%) of the value of equity securities traded at the Exchange. During the 12 months period ended 31 December 2025, the total turnover was Shs. 158.9 million (31 December 2024: Shs. 104.108 million) resulting in a transaction levy of Shs. 190 million (31 December 2024: Shs.125 million). NSE also charges investors, through brokers, a transaction levy of 0.0035% (31 December 2024 – 0.0035%) of the value of fixed income securities traded at the Exchange. The turnover for fixed income securities for the 12 months period ended 31 December 2025 was Shs. 3.1 trillion (31 December 2024: Shs. 1 trillion), resulting in transaction levy of Shs. 171 million (31 December 2024: Shs. 58 million).

	Group		Company	
	2025	2024	2025	2024
	Shs '000'	Shs '000'	Shs '000'	Shs '000'
Transaction levy on - equity securities	190,723	124,930	190,723	124,930
Transaction levy on - fixed income securities	171,773	58,314	171,773	58,314
Broker back office subscriptions	15,793	18,304	15,793	18,304
Data fee	1,432	1,720	-	1,720
Consultancy	3,320	820	-	820
NOMAD fee	150	150	150	150
Annual membership fee	1,800	1,800	1,800	1,800
Ibuka	40	-	-	-
	385,031	264,352	380,239	264,352

34. **RELATED PARTY TRANSACTIONS (CONTINUED)**

d) Transactions with companies related to directors

The Company's memorandum and articles of association requires that trading participants and listed companies to have two representatives each on the Board. The transactions listed below were carried out during the period with companies who the aforementioned representatives are directors.

	Group & Company	
	2025	**2024**
	Shs '000'	**Shs '000'**
Stockbrokers and investment bank representatives		
Transaction levy on - equity securities	27,779	29,376
Transaction levy on - fixed income securities	41,512	14,642
Broker back-office subscriptions	1,282	2,913
Consultancy	50	69
NOMAD fees	25	50
Data fee	54	203
Annual fee	100	200
Derivative fee	100	200
	70,902	47,653

	Company	
	2025	**2024**
e) Transactions with subsidiary and structured entities	**Shs '000'**	**Shs '000'**
i). Due from related party		
NSE Clear Limited (note 34 (e) (ii))	11,332	9,424
NSE Derivatives Settlement Guarantee Fund (note 34 (e) (iv))	4,281	1,512
NSE Derivatives Investor Protection Fund (note 34 (e) (iii))	1,515	170
AKS Nominees Limited (note 34 (e) (vi))	70	823
	17,198	11,929
Due to NSE LLP (note 34 (e) (v))	(8,396)	(781)

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

34. **RELATED PARTY TRANSACTIONS (CONTINUED)**

	Company	
	2025	**2024**
e) Transactions with subsidiary and structured entities (continued)	**Shs '000'**	**Shs '000'**
ii). During the year, transactions with NSE Clear Limited were as follows:-		
Expenses paid by the Company relating to:		
Audit and tax fees	704	1,179
Board allowances	89	276
CMA fees	500	500
Other expenses	261	120
	1,554	2,075
Income charged by the Company relating to:		
Management fees	237	682
Derivatives fees	117	82
	354	764
Amounts due from NSE Clear Limited	11,332	9,424
iii). During the year, transactions with NSE Derivatives Investor Protection Fund (IPF) were as follows: -		
Expenses paid by the Company relating to:		
Trustee allowances	89	276
Audit and tax fees	396	607
Management fees		
CMA fees	500	500
Other expenses	229	37
	1,214	1,420
Income charged by the Company relating to:		
Management fees	130	378
Amounts due from NSE Derivatives Investor Protection Fund	1,515	170

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

34. **RELATED PARTY TRANSACTIONS (CONTINUED)**

	Company	
	2025	**2024**
e) Transactions with subsidiary and structured entities (continued)	**Shs '000'**	**Shs '000'**
iv). During the period, transactions with NSE Derivatives Settlement Guarantee Fund (SGF) were as follows:-		
Expenses paid by the Company relating to:		
Income tax	3,011	404
Trustee allowances	89	276
Audit and tax fees	402	607
CMA fees	500	500
Other expenses	231	97
	4,233	1,884
Income charged by the Company relating to:		
Management fees	1,204	3,855
Distribution of surplus to NSE	1,645	4,962
Amounts due from the NSE Derivatives SGF	4,281	1,512
v). During the period, transactions with NSE LLP were as follows: -		
Expenses paid by the Company	92,662	6,599
Income received by the Company	139,487	-
Surplus for the year to the NSE	44,671	3,660
Amounts due to the NSE LLP	(8,396)	(781)
vi). During the period, transactions with AKS Nominess Limited were as follows: -		
Expenses paid by the Company	70	-
Amounts due from AKS Nominees Limited	70	823

34. **RELATED PARTY TRANSACTIONS (CONTINUED)**

	Company	
	2025	**2024**
g) Loans and advances to Executive Director	**Shs '000'**	**Shs '000'**
At start of year	-	1,057
Advances made in the year	-	481
Loan made in the year	-	444
Repayments in the year	-	(1,982)
At end of year	-	-
Interest income earned on loan	-	84

The balances are included in note 22 (a) under staff loans and advances. The repayment period for the loans and advances are one year and three months respectively. Interest on the loans was at Nil (2024 – 15% p.a). All terms are as per company policy.

35. **OPERATING LEASE COMMITMENTS (GROUP AND COMPANY)**

The Group and Company as a lessor:

Lease rental income earned during the year was Sh 18.8 million (2024: Sh10.5 million). At the end of the reporting period the Group and Company had existing contracts with tenants for the following minimum lease payments:

	2025	**2024**
	Shs '000'	**Shs '000'**
Receivable within 1 year	17,555	17,429
Receivable after 1 year but within 5 years	65,198	62,644
	82,753	80,073

Rental income receivable relates to the lease rent receivable on the leased areas on the investment property.

36. **CAPITAL COMMITMENTS - GROUP AND COMPANY**

Commitments at the end of the reporting period for which no provision had been made in these financial statements:

	2025	**2024**
	Shs '000'	**Shs '000'**
Authorised but not yet contracted for	234,000	-

The capital commitment relates to the expected implementation and project management costs on a new comprehensive market infrastructure solution which includes an automated trading, surveillance, depository and clearing systems.

37. RISK MANAGEMENT OBJECTIVES AND POLICIES

The main business risks faced by the Group and the Company in respect of its principal non-derivative financial instruments are market risk including interest rate risk and foreign currency risk, credit risk and liquidity risk. The directors review and determine policies for managing these risks.

a). Market risk

The Group and the Company maintains a conservative policy regarding currency and interest rate risks and does not engage in speculation in the markets. In addition, the Group and the Company do not speculate or trade in derivative financial instruments.

i). Interest rate risk (Group and Company)

The Group and Company's investment in interest earning investments are both at amortised cost and fair value through profit or loss. These comprise of treasury bonds and bank deposits which are at fixed interest rates hence not exposed to interest rate risk.

The fixed deposits are short-term in nature and the fair value risk is considered minimal. Treasury bonds held at fair value through profit and loss carry a fair value risk as these are long term.

The Group and Company's investments are at fixed interest rates and are therefore not exposed to interest rate risk for both 2025 and 2024.

ii). Foreign currency exchange risk (Group and Company)

The Group and Company undertake certain transactions denominated in foreign currencies. Therefore, exposures to exchange rate fluctuations arise. Exchange rate exposures are however minimal as these only relate to income from data and interest income.

At 31 December, the carrying amounts of foreign currency denominated monetary assets and liabilities which were all held in US Dollar currency are as follows:

	2025	2024
Assets	**Shs '000'**	**Shs '000'**
Cash and bank balances	437	4,904
Other receivables	10,213	510
Fixed deposit	-	2,202
	10,650	7,616
Liabilities		
Accrued expenses	(14,092)	(12,285)
Net position	(3,442)	(4,669)

At 31 December 2025, if the Shilling had weakened/strengthened by 10% against the US Dollar with all other variables held constant, the impact on pretax profit and total equity and reserves for the year would have been Shs. 344,200 (2024: Shs. 466,900) higher/lower mainly as a result of translation of US dollar denominated balances.

37. RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

a). Market risk (continued)

iii). Price risk (Group and Company)

The Group and Company hold investments that would be subject to price risk.

At 31 December, the fair value of the investments that are subject to price risk are as follows:

	2025 Shs '000'	2024 Shs '000'
Quoted equity instrument (note 18)	446,675	147,771

At 31 December 2025, if the price had weakened/strengthened by 10% against the market share price, the impact on other comprehensive income and total equity and reserves would have been Shs. 44,667,000 (2024 : Shs. 14,777,000).

b). Credit risk (Group and Company)

Credit risk refers to the risk that a counter party will default on its contractual obligations resulting in financial loss. Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. Credit risk mainly arises from financial assets and is managed on a Group-wide basis.

Credit risk on financial assets with banking institutions is managed by dealing with institutions with good credit ratings and placing limits on deposits that can be held in one institution.

Credit risk on trade receivables is managed by ensuring that credit is extended to customers with an established credit history. The credit history is determined by taking into account the financial position, past experience and other relevant factors. Credit is managed by setting a credit limit and credit period for each customer. The utilization of the credit limits and the credit period is monitored by management on a monthly basis.

In assessing whether the credit risk on a financial asset has increased significantly, the Group compares the risk of default occurring on the financial asset as at the reporting date with the risk of default occurring on that financial asset as at the date of initial recognition. In doing so, the Group considers reasonable and supportable information that is indicative of significant increases in credit risk since initial recognition and that is available without undue cost or effort. There is a rebuttable assumption that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due.

For this purpose, default is defined as having occurred if the debtor is in breach of contractual obligations, or if information is available internally or externally that suggests that the debtor is unlikely to be able to meet its obligations. However, there is a rebuttable assumption that that default does not occur later than when a financial asset is 90 days past due.

The Group and Company do not hold collateral or security to mitigate credit risk.

37. RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

b). Credit risk (Group and Company) (continued)

The amount that best represents the Group and Company's maximum exposure to credit risk as at 31 December 2025 and 2024 is made up as follows:

i). The gross carrying amount of financial assets with exposure to credit risk at balance sheet date was as follows:

Group	12 – month expected credit losses Shs '000'	Lifetime expected credit losses (a) Shs '000'	(b) Shs '000'	Total Shs '000'
At 31 December 2025				
Government securities	338,136	-	-	338,136
Long-term restricted investments	84,693	-	-	84,693
Trade receivables	127,660	11,858	-	139,518
Other receivables	109,973	15,218	-	125,191
Cash, cash equivalents and fixed deposits	1,002,122	-	-	1,002,122
Gross carrying amount	1,662,584	27,076	-	1,689,660
Loss allowance	(15,026)	(27,076)	-	(42,102)
Exposure to credit risk	1,647,558	-	-	1,647,558
At 31 December 2024				
Government securities	338,073	-	-	338,073
Long-term restricted investments	144,904	-	-	144,904
Trade receivables	55,622	8,399	-	64,021
Other receivables	36,656	4,412	-	41,068
Short-term restricted cash and investments	292,628	-	-	292,628
Cash, cash equivalents and fixed deposits	379,331	-	-	379,331
Gross carrying amount	1,247,214	12,811	-	1,260,025
Loss allowance	(5,694)	(12,811)	-	(18,505)
Exposure to credit risk	1,241,520	-	-	1,241,520

37. RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

b). Credit risk (Group and Company) (continued)

i). The gross carrying amount of financial assets with exposure to credit risk at balance sheet date was as follows: (continued)

Company	12 – month expected credit losses Shs '000'	Lifetime expected credit losses (a) Shs '000'	Lifetime expected credit losses (b) Shs '000'	Total Shs '000'
At 31 December 2025				
Government securities	338,136	-	-	338,136
Trade receivables	108,859	5,586	-	114,445
Other receivables	102,808	15,218	-	118,026
Cash, cash equivalents and fixed deposits	887,507	-	-	887,507
Gross carrying amount	1,437,310	20,804	-	1,458,114
Loss allowance	(13,077)	(20,804)	-	(33,881)
Exposure to credit risk	1,424,233	-	-	1,424,233
At 31 December 2024				
Government securities	338,073	-	-	338,073
Trade receivables	55,563	3,151	-	58,714
Other receivables	32,881	4,412	-	37,293
Short-term restricted cash and investments	292,628	-	-	292,628
Cash, cash equivalents and fixed deposits	360,794	-	-	360,794
Gross carrying amount	1,079,939	7,563	-	1,087,502
Loss allowance	(5,692)	(7,563)	-	(13,255)
Exposure to credit risk	1,074,247	-	-	1,074,247

Financial assets for which the loss allowance has been measured at an amount equal to lifetime expected credit losses have been analysed above based on their credit risk ratings as follows:

- financial assets for which credit risk has increased significantly since initial recognition but that are not credit impaired

- financial assets that are credit impaired at the balance sheet date

The above represents the worst-case scenario of credit exposure for both years.

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

37. RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

b). Credit risk (Group and Company) (continued)

ii). The loss allowance at end of each year relates to the following:

Group	12 – month expected credit losses Shs '000'	Lifetime expected credit losses (a) Shs '000'	(b) Shs '000'	Total Shs '000'
At 31 December 2025				
Government securities (note 20)	5,904	-	-	5,904
Long-term restricted investments (note 19)	1,365	-	-	1,365
Trade receivables (note 22 (b))	366	11,858	-	12,224
Other receivables (note 22 (b))	2,992	15,218	-	18,210
Cash, cash equivalents and fixed deposits (note 23)	4,399	-	-	4,399
Total	15,026	27,076	-	42,102
At 31 December 2024				
Government securities (note 20)	3,164	-	-	3,164
Long-term restricted investments (note 19)	2	-	-	2
Trade receivables (note 22 (b))	135	8,399	-	8,534
Other receivables (note 22 (b))	879	4,412	-	5,291
Cash, cash equivalents and fixed deposits (note 23)	1,514	-	-	1,514
Total	5,694	12,811	-	18,505

Company	12 – month expected credit losses Shs '000'	Lifetime expected credit losses (a) Shs '000'	(b) Shs '000'	Total Shs '000'
At 31 December 2025				
Government securities (note 20)	5,904	-	-	5,904
Trade receivables (note 22 (b))	318	5,586	-	5,904
Other receivables (note 22 (b))	2,992	15,218	-	18,210
Cash, cash equivalents and fixed deposits (note 23)	3,863	-	-	3,863
Total	13,077	20,804	-	33,881
At 31 December 2024				
Government securities (note 20)	3,164	-	-	3,164
Trade receivables (note 22 (b))	135	3,151	-	3,286
Other receivables (note 22 (b))	879	4,412	-	5,291
Cash, cash equivalents and fixed deposits (note 23)	1,514	-	-	1,514
Total	5,692	7,563	-	13,255

37. **RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)**

b). Credit risk (Group and Company) (continued)

iii). The changes in the loss allowance during the year were as follows

	12 – month expected credit losses	**Lifetime expected credit losses**		
		(a)	**(b)**	**Total**
Group	**Shs '000'**	**Shs '000'**	**Shs '000'**	**Shs '000'**
At 31 December 2025				
At start of year	5,694	12,811	-	18,505
Additions in the year (note 7)	9,332	14,265	-	23,597
At end of year	15,026	27,076	-	42,102
At 31 December 2025				
At start of year	4,531	5,226	-	9,757
Additions in the year (note 7)	1,163	7,585	-	8,748
At end of year	5,694	12,811	-	18,505
Company				
At 31 December 2025				
At start of year	5,692	7,563	-	13,255
Additions in the year (note 7)	7,385	13,241	-	20,626
Total	13,077	20,804	-	33,881
At 31 December 2024				
At start of year	4,525	5,226	-	9,751
Additions in the year (note 7)	1,167	2,337	-	3,504
Total	5,692	7,563	-	13,255

NOTES TO THE FINANCIAL STATEMENTS (CONTINUED)

37. RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)

c). Liquidity risk – Group and Company

Prudent liquidity risk management includes maintaining sufficient cash to meet the Group and Company's obligations. The Group and Company manage this risk by maintaining adequate cash balances in the bank, banking facilities and by continuously monitoring forecast and actual cash flows.

The table below analyses the Group and Company's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the reporting period to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

Group	Up to 1 year Shs '000'	1 – 5 years Shs '000'	Total Shs '000'
At 31 December 2025			
Financial liabilities			
Tenant deposits	1,322	3,632	4,954
Trade and other payables	158,277	-	158,277
Dividends payable	66,168	-	66,168
Trading members' contributions	2,200		2,200
Settlement Guarantee Fund members contributions	-	11,750	11,750
Total financial liabilities	227,967	15,382	243,349
At 31 December 2024			
Financial liabilities			
Tenant deposits	-	3,283	3,283
Trade and other payables	103,463	-	103,463
Dividends payable	61,961	-	61,961
Trading members' contributions	2,200	-	2,200
Settlement Guarantee Fund members contributions	-	11,750	11,750
Total financial liabilities	167,624	15,033	182,657
Company			
At 31 December 2025			
Financial liabilities			
Tenant deposits	1,322	3,632	4,954
Trade and other payables	96,366	-	96,366
Dividends payable	66,154	-	66,154
Due to NSE LLP	9,005	-	9,005
Total financial liabilities	172,847	3,632	176,479

37. **RISK MANAGEMENT OBJECTIVES AND POLICIES (CONTINUED)**

c). Liquidity risk – Group and Company (continued)

Company	Up to 1 year Shs '000'	1 – 5 years Shs '000'	Total Shs '000'
At 31 December 2024			
Financial liabilities			
Tenant deposits	-	3,283	3,283
Trade and other payables	90,400	-	90,400
Dividends payable	61,898	-	61,898
Due to NSE LLP	781	-	781
Total financial liabilities	153,079	3,283	156,362

d). Fair value of financial assets and liabilities

IFRS 7 specifies a hierarchy of valuation techniques based on whether inputs used in the valuation techniques of financial instruments are observable or unobservable. Financial instruments are grouped into 3 levels based on the degree to which fair value data / input is observable.

i). Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active trading markets for identical assets or liabilities.

ii). Level 2 fair value measurements are those derived from inputs other than quoted prices that are observable for the asset or liability, either directly (i.e. as a price) or indirectly (i.e. derived from prices). Input data for this category is sourced mainly from the Nairobi Securities Exchange.

iii). Level 3 fair value measurements are those derived from valuation techniques that include inputs that are not based on observable market data (unobservable inputs). The external valuation of buildings and investment property has been performed using the net income approach.

The table below shows an analysis of the fair value of financial instruments that are carried at fair value by level of the fair value hierarchy.

Group and Company	2025 Shs '000'	2024 Shs '000'
Level 1		
Financial assets		
Quoted equity instrument	446,675	147,771
Level 2		
Financial assets		
Government securities	139,392	122,389

There were no transfers between levels 1, 2 and 3 in the period and for level 3, there was no movement.

i). Level 1 – We have determined the fair value using quoted prices (unadjusted) from the Dar Es Salaam Stock Exchange.

ii). Level 2 – We have determined the fair value using the implied yield curve for the bond published by the Nairobi Securities Exchange.

38. CAPITAL MANAGEMENT

The Group and Company manage its capital to ensure that it will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance.

At 31 December 2025 and 31 December 2024, the Group and Company did not have any borrowings.

39. **MINIMUM LIQUID NET-WORTH REQUIREMENTS (COMPANY)**	**2025 Shs '000'**	**2024 Shs '000'**
Estimated twelve months operating costs	-	585,256
Required minimum liquid net-worth at one half of estimated operating costs	-	292,628
Cash and cash equivalents and fixed deposits (note 23)	-	292,628

To ensure that there is no significant risk that liabilities may not be met as they fall due, the Capital Markets (Derivatives Markets) Regulations, 2015 requires a futures exchange to maintain minimum liquid net-worth requirements equal to one half of the estimated gross operating costs of the futures exchange for the next twelve (12) month period or such other liquid net-worth amount as may be prescribed by the Authority. This has been met based on the above and disclosed separately in note

On 22 July 2025, the CMA granted a temporary waiver of the basis of computation of the liquid capital requirement for a period of five (5) years, subject to review based on market performance, participant feedback and risk indicators.

40. CONTINGENT LIABILITY

Five (5) former employees of the NSE had filed a suit in July 2023 and alleged wrongful termination. The judgement was delivered in April 2024. The employees have appealed the judgement seeking compensation of Shs. 21,268,064 and general damages. The matter is pending in the Court of Appeal and has not been provided for in these financial statements.